

TATA CONSULTANCY SERVICES LIMITED
Standalone Balance Sheet

		(₹ crore)	
	Note	As at March 31, 2026	As at March 31, 2025
ASSETS			
Non-current assets			
Property, plant and equipment	8(a)	8,259	8,346
Capital work-in-progress	8(a)	2,402	1,318
Right-of-use assets	7	9,245	7,601
Intangible assets	8(b)	206	878
Financial assets			
Investments	6(a)	11,181	3,999
Trade receivables			
Billed	6(b)	99	91
Unbilled		102	44
Loans	6(e)	752	2
Other financial assets	6(f)	1,160	657
Deferred tax assets (net)	15	3,452	2,658
Income tax assets (net)		714	1,131
Other assets	8(c)	1,426	2,900
Total non-current assets		38,998	29,625
Current assets			
Inventories	8(d)	29	20
Financial assets			
Investments	6(a)	29,909	28,803
Trade receivables			
Billed	6(b)	48,892	44,392
Unbilled		8,084	7,375
Cash and cash equivalents	6(c)	1,833	2,610
Other balances with banks	6(d)	2,953	4,542
Loans	6(e)	1,704	42
Other financial assets	6(f)	1,650	2,455
Income tax assets (net)		1,224	226
Other assets	8(c)	13,992	12,698
Total current assets		1,10,270	1,03,163
TOTAL ASSETS		1,49,268	1,32,788
EQUITY AND LIABILITIES			
Equity			
Share capital	6(n)	362	362
Other equity	9	84,314	75,255
Total equity		84,676	75,617
Liabilities			
Non-current liabilities			
Financial liabilities			
Lease liabilities		8,077	6,486
Other financial liabilities	6(i)	489	626
Employee benefit obligations	12	200	186
Deferred tax liabilities (net)	15	258	202
Unearned and deferred revenue		608	489
Total non-current liabilities		9,632	7,989
Current liabilities			
Financial liabilities			
Lease liabilities		1,277	1,091
Trade payables			
Dues of small enterprises and micro enterprises	6(h)	137	156
Dues of creditors other than small enterprises and micro enterprises	6(h)	17,962	17,327
Other financial liabilities	6(i)	8,452	6,551
Unearned and deferred revenue		3,660	3,377
Other liabilities	8(e)	4,454	5,110
Provisions	8(f)	1,146	92
Employee benefit obligations	12	4,144	3,621
Income tax liabilities (net)		13,728	11,857
Total current liabilities		54,960	49,182
TOTAL EQUITY AND LIABILITIES		1,49,268	1,32,788

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS

As per our report of even date attached

For and on behalf of the Board

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Executive Director - President and COO
DIN: 07121802

Aniruddha Godbole
Partner
Membership No: 105149
Mumbai, April 9, 2026

Samir Seksaria
CFO
Mumbai, April 9, 2026

Yashaswin Sheth
Company Secretary

TATA CONSULTANCY SERVICES LIMITED
Standalone Statement of Profit and Loss

		(₹ crore)	
	Note	Year ended March 31, 2026	Year ended March 31, 2025
Revenue from operations	10	2,20,938	2,14,853
Other income	11	10,036	9,642
TOTAL INCOME		2,30,974	2,24,495
Expenses			
Employee benefit expenses	12	1,12,142	1,07,300
Cost of equipment and software licences	13(a)	3,476	11,372
Finance costs	14	1,124	703
Depreciation and amortisation expense		4,288	4,220
Other expenses	13(b)	43,071	38,252
TOTAL EXPENSES		1,64,101	1,61,847
PROFIT BEFORE EXCEPTIONAL ITEMS AND TAX		66,873	62,648
Exceptional items			
Re-structuring expenses	21	929	-
Statutory impact of new Labour Codes	22	2,128	-
Provision towards legal claim	19	1,010	-
PROFIT BEFORE TAX		62,806	62,648
Tax expense			
Current tax	15	14,178	14,823
Deferred tax	15	(468)	(232)
TOTAL TAX EXPENSE		13,710	14,591
PROFIT FOR THE YEAR		49,096	48,057
OTHER COMPREHENSIVE INCOME (OCI)			
Items that will not be reclassified subsequently to profit or loss			
Remeasurement of defined employee benefit plans		274	(180)
Income tax on items that will not be reclassified subsequently to profit or loss		(69)	45
Items that will be reclassified subsequently to profit or loss			
Net change in fair values of investments other than equity shares carried at fair value through OCI		(1,066)	593
Net change in intrinsic value of derivatives designated as cash flow hedges		(9)	1
Net change in time value of derivatives designated as cash flow hedges		-	(9)
Income tax on items that will be reclassified subsequently to profit or loss		270	(146)
TOTAL OTHER COMPREHENSIVE INCOME / (LOSSES)		(600)	304
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		48,496	48,361
Earnings per equity share:- Basic and diluted (₹)	16	135.70	132.83
Weighted average number of equity shares		361,80,87,518	361,80,87,518

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TATA CONSULTANCY SERVICES LIMITED
Standalone Statement of Changes in Equity

A. EQUITY SHARE CAPITAL

(₹ crore)

Balance as at April 1, 2025	Changes in equity share capital due to prior period errors	Restated balance as at April 1, 2025	Changes in equity share capital during the year	Balance as at March 31, 2026
362	-	362	-	362

(₹ crore)

Balance as at April 1, 2024	Changes in equity share capital due to prior period errors	Restated balance as at April 1, 2024	Changes in equity share capital during the year	Balance as at March 31, 2025
362	-	362	-	362

TATA CONSULTANCY SERVICES LIMITED
Standalone Statement of Changes in Equity

B. OTHER EQUITY

	Reserves and surplus				Items of other comprehensive income			(₹ crore)
	Capital reserve*	Capital redemption reserve	Special Economic Zone re-investment reserve	Retained earnings	Investment revaluation reserve	Cash flow hedging reserve		Total equity
						Intrinsic value	Time value	
Balance as at April 1, 2025	-	21	1,085	73,380	784	9	(24)	75,255
Changes in accounting policy / prior period errors	-	-	-	-	-	-	-	-
Restated balance as at April 1, 2025	-	21	1,085	73,380	784	9	(24)	75,255
Profit for the year	-	-	-	49,096	-	-	-	49,096
Other comprehensive income / (losses)	-	-	-	205	(798)	(7)	-	(600)
Total comprehensive income	-	-	-	49,301	(798)	(7)	-	48,496
Dividend	-	-	-	(39,437)	-	-	-	(39,437)
Transfer from Special Economic Zone re-investment reserve	-	-	(1,085)	1,085	-	-	-	-
Balance as at March 31, 2026	-	21	-	84,329	(14)	2	(24)	84,314
Balance as at April 1, 2024	-	21	16,234	55,173	339	9	(18)	71,758
Changes in accounting policy / prior period errors	-	-	-	-	-	-	-	-
Restated balance as at April 1, 2024	-	21	16,234	55,173	339	9	(18)	71,758
Profit for the year	-	-	-	48,057	-	-	-	48,057
Other comprehensive income / (losses)	-	-	-	(135)	445	-	(6)	304
Total comprehensive income	-	-	-	47,922	445	-	(6)	48,361
Dividend	-	-	-	(44,864)	-	-	-	(44,864)
Transfer from Special Economic Zone re-investment reserve	-	-	(15,149)	15,149	-	-	-	-
Balance as at March 31, 2025	-	21	1,085	73,380	784	9	(24)	75,255

*Represents value less than ₹0.50 crore.

Gain of ₹205 crore and loss of ₹135 crore on remeasurement of defined employee benefit plans (net of tax) is recognised as a part of retained earnings for the years ended March 31, 2026 and 2025, respectively.

TATA CONSULTANCY SERVICES LIMITED
Standalone Statement of Changes in Equity

Nature and purpose of reserves

(a) Capital reserve

The Company recognises profit and loss on purchase, sale, issue or cancellation of the Company's own equity instruments to capital reserve.

(b) Capital redemption reserve

As per Companies Act, 2013, capital redemption reserve is created when company purchases its own shares out of free reserves or securities premium. A sum equal to the nominal value of the shares so purchased is transferred to capital redemption reserve. The reserve is utilised in accordance with the provisions of section 69 of the Companies Act, 2013.

(c) Special Economic Zone re-investment reserve

The Special Economic Zone (SEZ) re-investment reserve is created out of the profit of eligible SEZ units in terms of the provisions of section 10AA(1)(ii) of the Income-tax Act, 1961. The reserve will be utilised by the Company for acquiring new assets for the purpose of its business as per the terms of section 10AA(2) of Income-tax Act, 1961.

(d) Retained earnings

This reserve represents undistributed accumulated earnings of the Company as on the balance sheet date.

(e) Investment revaluation reserve

This reserve represents the cumulative gains and losses arising on the revaluation of equity and debt instruments on the balance sheet date measured at fair value through other comprehensive income. The reserves accumulated will be reclassified to retained earnings and statement of profit and loss respectively, when such instruments are disposed.

(f) Cash flow hedging reserve

The cash flow hedging reserve represents the cumulative effective portion of gains or losses arising on changes in fair value of designated portion of hedging instruments entered into for cash flow hedges. Such gains or losses will be reclassified to statement of profit and loss in the period in which the underlying hedged transaction occurs.

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS

As per our report of even date attached

For and on behalf of the Board

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

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Partner
Membership No: 105149
Mumbai, April 9, 2026

Samir Seksaria
CFO
Mumbai, April 9, 2026

Yashaswin Sheth
Company Secretary

TATA CONSULTANCY SERVICES LIMITED
Standalone Statement of Cash Flows

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit for the year	49,096	48,057
Adjustments for:		
Depreciation and amortisation expense	4,288	4,220
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	179	78
Provision towards legal claim (Refer note 19)	1,010	-
Tax expense	13,710	14,591
Net gain on lease modification	(97)	(10)
Net gain on sub-lease	(3)	-
Unrealised foreign exchange gain	(164)	(18)
Net gain on disposal of property, plant and equipment	(27)	(20)
Net gain on disposal / fair valuation of investments	(459)	(225)
Net gain on fair valuation of call option	(17)	-
Interest income	(3,446)	(2,865)
Dividend income (including exchange impact)	(6,222)	(6,133)
Finance costs	1,124	703
Operating profit before working capital changes	58,972	58,378
Net change in		
Inventories	(9)	7
Trade receivables		
Billed	(4,668)	(5,828)
Unbilled	(767)	123
Loans and other financial assets	549	(732)
Other assets	523	(2,238)
Trade payables	616	2,884
Unearned and deferred revenue	402	829
Other financial liabilities	2,176	(17)
Other liabilities and provisions	(75)	1,002
Cash flows generated from operations	57,719	54,408
Taxes paid (net of refunds)	(12,122)	(13,592)
Net cash flows generated from operating activities	45,597	40,816
CASH FLOWS FROM INVESTING ACTIVITIES		
Bank deposits placed	(5,768)	(8,842)
Inter-corporate deposits placed	(1,511)	(36)
Purchase of investments (including reverse repo (net))	(1,14,465)	(1,32,458)
Payment for purchase of property, plant and equipment	(3,081)	(2,388)
Payment including advances for acquiring right-of-use assets	(105)	(94)
Payment for purchase of intangible assets	(348)	(902)
Acquisition of subsidiaries (Refer note 6(a))	(1,128)	(1,036)
Advance towards acquisition of investment	(250)	-
Investment in subsidiaries (Refer note 6(a))	(6,570)	-
Proceeds from bank deposits	7,360	7,262
Proceeds from disposal / redemption of investments	1,11,888	1,34,383
Proceeds from sub-lease receivable	10	10
Proceeds from disposal of property, plant and equipment	60	23
Interest received	2,559	2,770
Dividend received from subsidiaries	6,222	6,133
Net cash flows generated from / (used in) investing activities	(5,127)	4,825

TATA CONSULTANCY SERVICES LIMITED
Standalone Statement of Cash Flows

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
CASH FLOWS FROM FINANCING ACTIVITIES		
Repayment of lease liabilities ¹	(1,292)	(1,112)
Interest paid	(798)	(748)
Dividend paid	(39,437)	(44,864)
Net cash flows used in financing activities	(41,527)	(46,724)
Net change in cash and cash equivalents	(1,057)	(1,083)
Cash and cash equivalents at the beginning of the year	2,610	3,644
Exchange difference on translation of foreign currency cash and cash equivalents	280	49
Cash and cash equivalents at the end of the year	1,833	2,610
<u>Components of cash and cash equivalents</u>		
Balances with banks		
In current accounts	1,713	1,890
In deposit accounts	118	712
Cheques on hand	-*	-*
Cash on hand	-*	-*
Remittances in transit	2	8
	1,833	2,610

*Represents value less than ₹0.50 crore.

¹ Changes in lease liabilities including both changes arising from cash flows and non-cash changes are given in note 7.

Refer note 13(c) for amount spent during the years ended March 31, 2026 and 2025 on construction / acquisition of any asset and other purposes relating to CSR activities.

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TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone financial statements

1) Corporate information

Tata Consultancy Services Limited (referred to as “TCS Limited” or “the Company”) provides IT services, consulting and business solutions and has been partnering with many of the world’s largest businesses in their transformation journeys. The Company offers a consulting-led, cognitive powered, integrated portfolio of IT, business and engineering services and solutions. This is delivered through its unique Location-Independent Agile delivery model recognised as a benchmark of excellence in software development.

The Company is a public limited company incorporated and domiciled in India. The address of its corporate office is TCS House, Raveline Street, Fort, Mumbai - 400001. As at March 31, 2026, Tata Sons Private Limited, the holding company owned 71.74% of the Company’s equity share capital.

The Board of Directors approved the standalone financial statements for the year ended March 31, 2026 and authorised for issue on April 9, 2026.

2) Statement of compliance

These standalone financial statements have been prepared in accordance with the Indian Accounting Standards (Ind AS) as prescribed under section 133 of the Companies Act, 2013 read with the Companies (Indian Accounting Standards) Rules as amended from time to time.

3) Basis of preparation

These standalone financial statements have been prepared on historical cost basis except for certain financial instruments and defined benefit plans which are measured at fair value or amortised cost at the end of each reporting period. Historical cost is generally based on the fair value of the consideration given in exchange for goods and services. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. All assets and liabilities have been classified as current and non-current as per the Company’s normal operating cycle. Based on the nature of services rendered to customers and time elapsed between deployment of resources and the realisation in cash and cash equivalents of the consideration for such services rendered, the Company has considered an operating cycle of 12 months.

The statement of cash flows has been prepared under indirect method, whereby profit or loss is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and items of income or expense associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Company are segregated. The Company considers all highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value to be cash equivalents.

These standalone financial statements have been prepared in Indian Rupee (₹) which is the functional currency of the Company. Foreign currency transactions are recorded at exchange rates prevailing on the date of the transaction. Foreign currency denominated monetary assets and liabilities are retranslated at the exchange rate prevailing on the balance sheet dates and exchange gains and losses arising on settlement and restatement are recognised in the statement of profit and loss. Non-monetary assets and liabilities that are measured in terms of historical cost in foreign currencies are not retranslated.

The material accounting policy information related to preparation of the standalone financial statements have been discussed in the respective notes.

4) Use of estimates and judgements

The preparation of standalone financial statements in conformity with the recognition and measurement principles of Ind AS requires management of the Company to make estimates and judgements that affect the reported balances of assets and liabilities, disclosures of contingent liabilities as at the date of standalone financial statements and the reported amounts of income and expenses for the periods presented.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and future periods are affected.

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone financial statements

The Company uses the following critical accounting judgements, estimates and assumptions in preparation of its standalone financial statements:

(a) Revenue recognition

Revenue for fixed-price contracts is recognised using percentage-of-completion method. The Company estimates the future cost-to-completion of the contracts which is used to determine degree of completion of the performance obligation.

The Company exercises judgement for identification of performance obligations, determination of transaction price, ascribing the transaction price to each distinct performance obligation and in determining whether the performance obligation is satisfied at a point in time or over a period of time. These judgements have been explained in detail under the revenue recognition note (Refer note 10).

(b) Useful lives of property, plant and equipment

The Company reviews the useful life of property, plant and equipment at the end of each reporting period. This reassessment may result in change in depreciation expense in future periods (Refer note 8(a)).

(c) Impairment of investments in subsidiaries

The Company reviews its carrying value of investments carried at cost (net of impairment, if any) annually, or more frequently when there is indication for impairment. If the recoverable amount is less than its carrying amount, the impairment loss is accounted for in the statement of profit and loss.

(d) Fair value measurement of financial instruments

When the fair value of financial assets and financial liabilities recorded in the balance sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques including the Discounted Cash Flow model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

(e) Impairment of financial assets (other than at fair value)

Measurement of impairment of financial assets require use of estimates, which have been explained in the note on financial assets, financial liabilities and equity instruments, under impairment of financial assets (other than at fair value) (Refer note 6).

(f) Deferred tax assets

A deferred tax asset is recognised to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences and tax losses can be utilised. Accordingly, the Company exercises its judgement to reassess the carrying amount of deferred tax assets at the end of each reporting period.

(g) Provisions and contingent liabilities

The Company estimates the provisions that have present obligations as a result of past events and it is probable that outflow of resources will be required to settle the obligations. These provisions are reviewed at the end of each reporting period and are adjusted to reflect the current best estimates.

The Company uses significant judgements to assess contingent liabilities. Contingent liabilities are disclosed when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company or a present obligation that arises from past events where it is either not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of the amount cannot be made. Contingent assets are neither recognised nor disclosed in the standalone financial statements.

(h) Employee benefits

The accounting of employee benefit plans in the nature of defined benefit requires the Company to use assumptions. These assumptions have been explained under employee benefits note (Refer note 12 and 22).

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone financial statements

(i) Leases

The Company evaluates if an arrangement qualifies to be a lease as per the requirements of Ind AS 116. Identification of a lease requires significant judgement. The Company uses significant judgement in assessing the lease term (including anticipated renewals) and the applicable discount rate.

The Company determines the lease term as the non-cancellable period of a lease, together with both periods covered by an option to extend the lease if the Company is reasonably certain to exercise that option; and periods covered by an option to terminate the lease if the Company is reasonably certain not to exercise that option. In assessing whether the Company is reasonably certain to exercise an option to extend a lease, or not to exercise an option to terminate a lease, it considers all relevant facts and circumstances that create an economic incentive for the Company to exercise the option to extend the lease, or not to exercise the option to terminate the lease. The Company revises the lease term if there is a change in the non-cancellable period of a lease.

The discount rate is generally based on the incremental borrowing rate specific to the lease being evaluated or for a portfolio of leases with similar characteristics.

5) Recent pronouncements

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time.

In May 2025, MCA notified amendments to Ind AS 21 - The Effects of Changes in Foreign Exchange Rates, applicable w.e.f. April 1, 2025. The Company has reviewed the amendment and based on its evaluation has determined that it does not have any significant impact in its financial statements.

In August 2025, MCA notified the following amendments to:

1. Ind AS 1, Presentation of Financial Statements, applicable w.e.f. April 1, 2025 – The amendment relates to classification of liabilities as current or non-current and non-current liabilities with covenants. In the context of classifying a liability as current, it removes the requirement of existence of a right to defer settlement for at least 12 months after the reporting date and instead requires that the said right should exist on the reporting date and have substance. The amendment also introduces guidance on classification of liabilities with covenants. The Company has no impact of these amendments in its classification criteria of current and non-current liabilities.
2. Ind AS 7, Statement of Cash Flows and Ind AS 107, Financial Instruments: Disclosures, applicable w.e.f. April 1, 2025 – The amendment in Ind AS 7 requires to inform users of financial statements of the existence of supplier finance arrangements and explain the nature of the arrangements, the carrying amount of liabilities and the range of payment due dates. Ind AS 107 has been amended to add supplier finance arrangements as a factor that may cause concentration of liquidity risk. The Company has reviewed the amendment and based on its evaluation has determined that it does not have any significant impact in its financial statements.
3. Ind AS 12, International Tax Reform – Pillar Two Model Rules applicable immediately - The amendments provide a temporary mandatory relief from deferred tax accounting for top-up tax and disclose that they have applied the relief. This relief is immediate and applies retrospectively (Refer note 15).

6) Financial assets, financial liabilities and equity instruments

Financial assets and liabilities are recognised when the Company becomes a party to the contractual provisions of the instrument. Financial assets and liabilities are initially measured at fair value, except for trade receivables which are initially measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value measured on initial recognition of financial asset or financial liability.

The Company derecognises a financial asset only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity. The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or have expired.

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone financial statements

Cash and cash equivalents

The Company considers all highly liquid investments, which are readily convertible into known amounts of cash that are subject to an insignificant risk of change in value, to be cash equivalents. Cash and cash equivalents consist of balances with banks and which are unrestricted for withdrawal and usage.

Financial assets at amortised cost

Financial assets are subsequently measured at amortised cost if these financial assets are held within a business whose objective is to hold these assets in order to collect contractual cash flows and the contractual terms of the financial assets give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at fair value through other comprehensive income

Financial assets are measured at fair value through other comprehensive income if these financial assets are held within a business whose objective is achieved by both collecting contractual cash flows on specified dates that are solely payments of principal and interest on the principal amount outstanding and selling financial assets.

The Company has made an irrevocable election to present subsequent changes in the fair value of equity investments not held for trading in other comprehensive income.

Financial assets at fair value through profit or loss

Financial assets are measured at fair value through profit or loss unless they are measured at amortised cost or at fair value through other comprehensive income on initial recognition. The transaction costs directly attributable to the acquisition of financial assets and liabilities at fair value through profit or loss are immediately recognised in statement of profit and loss.

Investment in subsidiaries

Investment in subsidiaries are measured at cost less impairment loss, if any.

Financial liabilities

Financial liabilities are measured at amortised cost using the effective interest method except for deferred consideration recognised in a business combination which is subsequently measured at fair value through profit and loss.

Equity instruments

An equity instrument is a contract that evidences residual interest in the assets of the company after deducting all of its liabilities. Equity instruments issued by the Company are recognised at the proceeds received net of direct issue cost.

Derivative accounting

• **Instruments in hedging relationship**

The Company designates certain foreign exchange forward, currency options and futures contracts as hedge instruments in respect of foreign exchange risks. These hedges are accounted for as cash flow hedges.

The Company uses hedging instruments that are governed by the financial risk management policy as approved by the Risk Management Committee. The policy provides principles on the use of such financial derivatives consistent with the risk management strategy of the Company. While determining the appropriate hedge ratio, the Company takes into consideration the prevailing macro-economic conditions, the availability and liquidity of the hedging instruments, tolerance levels for hedge ineffectiveness and the costs of hedging. The hedging activities are reviewed by the Risk Management Committee every quarter and future course of action is determined.

The hedge instruments are designated and documented as hedges at the inception of the contract. The Company determines the existence of an economic relationship between the hedging instrument and hedged item based on the currency, amount and timing of their respective cash flows. The effectiveness of hedge instruments to reduce the risk associated with the exposure being hedged is assessed and measured at inception and on an ongoing basis. If the hedged future cash flows are no longer expected to occur, then the

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone financial statements

amounts that have been accumulated in other equity are immediately reclassified in net foreign exchange gains in the statement of profit and loss.

The effective portion of change in the fair value of the designated hedging instrument is recognised in the other comprehensive income and accumulated under the heading cash flow hedging reserve.

The Company separates the intrinsic value and time value of an option and designates as hedging instruments only the change in intrinsic value of the option. The change in fair value of the intrinsic value and time value of an option is recognised in the other comprehensive income and accounted as a separate component of equity. Such amounts are reclassified into the statement of profit and loss when the related hedged items affect profit and loss.

Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated or no longer qualifies for hedge accounting. Any gain or loss recognised in other comprehensive income and accumulated in equity till that time remains and is recognised in the statement of profit and loss when the forecasted transaction ultimately affects profit and loss. Any gain or loss is recognised immediately in the statement of profit and loss when the hedge becomes ineffective.

• **Instruments not in hedging relationship**

The Company enters into contracts that are effective as hedges from an economic perspective, but they do not qualify for hedge accounting. The change in the fair value of such instrument is recognised in the statement of profit and loss.

Impairment of financial assets (other than at fair value)

The Company assesses at each date of balance sheet whether a financial asset or a group of financial assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. The Company recognises lifetime expected losses for all contract assets and / or all trade receivables that do not constitute a financing transaction. In determining the allowance for expected credit losses, the Company has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience and is adjusted for forward looking information. The expected credit loss allowance is based on the ageing of the receivables that are due and allowance rates used in the provision matrix. For all other financial assets, expected credit losses are measured at an amount equal to the 12-months expected credit losses or at an amount equal to the life time expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition.

(a) Investments

Investments consist of the following:

Investments – Non-current

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Investment in subsidiaries		
Fully paid equity shares (unquoted)	9,394	2,423
Optionally redeemable convertible debentures (unquoted)	1,576	1,576
Compulsorily convertible preference shares (unquoted)	211	-
Investments designated at fair value through OCI		
Fully paid equity shares (unquoted)		
Taj Air Limited	-	-
	11,181	3,999

The Company has adjusted the impairment on investments carried out at fair value through OCI against the cost of such investments to disclose their respective fair values.

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Investments – Current

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Investments carried at fair value through profit or loss		
Mutual fund units (quoted)	1,104	1,030
Investments carried at fair value through OCI		
Government bonds and securities (quoted)	21,450	23,844
Corporate bonds and debentures (quoted)	4,708	3,929
Investments carried at amortised cost		
Certificate of deposits (quoted)	1,583	-
Commercial papers (quoted)	1,064	-
	29,909	28,803

Government bonds and securities includes bonds pledged with bank for credit facility amounting to ₹2,700 crore and ₹2,700 crore as at March 31, 2026 and 2025, respectively.

Aggregate value of quoted and unquoted investments is as follows:

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Aggregate value of quoted investments	29,909	28,803
Aggregate value of unquoted investments (net of impairment)	11,181	3,999
Aggregate market value of quoted investments	29,909	28,803

Market value of quoted investments carried at amortised cost is as follows:

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Certificate of deposits	1,583	-
Commercial papers	1,064	-

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Carrying value of investment in equity instruments is as follows:

						(₹ crore)	
In numbers	Currency	Face value per share	Investment in subsidiaries	As at March 31, 2026	As at March 31, 2025		
Fully paid equity shares (unquoted)							
212,27,83,424	UYU	1	TCS Iberoamerica S.A.	461	461		
15,75,300	INR	10	APTOnline Limited	-	-		
1,300	EUR	-	Tata Consultancy Services Belgium	1	1		
66,000	EUR	1,000	Tata Consultancy Services Netherlands B.V.	403	403		
1,000	SEK	100	Tata Consultancy Services Sverige Aktiebolag	19	19		
1	EUR	-	Tata Consultancy Services Deutschland GmbH	2	2		
20,000	USD	10	Tata America International Corporation	453	453		
75,82,820	SGD	1	Tata Consultancy Services Asia Pacific Pte. Ltd.	19	19		
3,72,58,815	AUD	1	TCS FNS Pty Limited	212	212		
10,00,001	GBP	1	Diligenta Limited	429	429		
1,000	USD	-	Tata Consultancy Services Canada Inc.	-*	-*		
100	CAD	70,653.61	Tata Consultancy Services Canada Inc.	31	31		
51,00,000	INR	10	C-Edge Technologies Limited	5	5		
8,90,000	INR	10	MP Online Limited	1	1		
1,40,00,000	ZAR	1	Tata Consultancy Services (Africa) (Proprietary) Limited	66	66		
18,89,005	INR	10	MahaOnline Limited	2	2		
-	QAR	-	Tata Consultancy Services Qatar	2	2		
10,00,000	INR	100	TCS e-Serve International Limited	10	10		
1,00,500	GBP	0.00001	Tata Consultancy Services UK Limited	66	66		
2,50,00,000	EUR	1	Tata Consultancy Services Ireland Limited	224	224		
10,00,000	INR	10	TCS Foundation	-	-		
17,56,500	INR	10	TRIL Bengaluru Real Estate Five Limited ¹	3	3		
93,34,600	INR	10	TRIL Bengaluru Real Estate Six Limited ¹	14	14		
-	USD	-	ListEngage Midco, LLC ²	6,956	-		
15,30,000	INR	100	HyperVault AI Data Center Limited ³	15	-		
Optionally redeemable convertible debentures (unquoted)							
16,48,90,800	INR	10	TRIL Bengaluru Real Estate Five Limited ¹	249	249		
87,67,24,500	INR	10	TRIL Bengaluru Real Estate Six Limited ¹	1,327	1,327		
Compulsorily convertible preference shares (unquoted)							
1,92,20,000	INR	100	HyperVault AI Data Center Limited ³	211	-		
				11,181	3,999		

Equity instruments designated at fair value through OCI are as follows:

						(₹ crore)	
In numbers	Currency	Face value per share	Equity instruments designated at fair value through OCI	As at March 31, 2026	As at March 31, 2025		
Fully paid equity shares (unquoted)							
1,90,00,000	INR	10	Taj Air Limited	-	-		

*Represents value less than ₹0.50 crore.

Notes:

- On January 29, 2025, the Share Purchase and Securities Purchase Agreement (SSPA) was executed between Tata Consultancy Services Limited (Company), Tata Realty and Infrastructure Limited (TRIL), TRIL Bengaluru Real Estate Five Limited (TBRF) and TRIL Bengaluru Real Estate Six Limited (TBR6) for acquisition of 100% equity shares and optionally redeemable convertible debentures of TBRF and TBR6 held by TRIL, in two tranches at a consideration of ₹1,593 crore.

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Out of the above, the Company paid ₹554 crore towards consideration for remaining 35% stake on April 30, 2025 aggregating to:

- 6,14,775 equity shares and 5,77,11,780 optionally redeemable convertible debentures in TBRF
- 32,67,110 equity shares and 30,68,53,575 optionally redeemable convertible debentures in TBRS

2. On October 10, 2025, the Company acquired 100% ownership interest of ListEngage Midco, LLC along with its subsidiary ListEngage LLC, limited liability companies in Delaware and leading Salesforce summit partner, for a consideration of \$69 million (₹612 crore). The consideration includes \$4 million (₹40 crore), the payment of which is contingent upon achievement of certain key performance indicators as set out in the agreement to be achieved over a period of two years and the fair value of which is \$4 million (₹38 crore) on initial recognition. On January 14, 2026, the Company made additional investment in ListEngage Midco, LLC of \$703 million (₹6,344 crore) to acquire Coastal Cloud Holding, LLC (Refer note 23).
3. The Company incorporated a subsidiary, HyperVault AI Data Center Limited (HADL) on October 29, 2025. On November 20, 2025, the Securities Subscription Agreement (SSA) and Shareholders' Agreement (SHA) have been executed between the Company, TPG Terabyte Bidco Pte. Ltd. (TPG) and HADL to support the growth of Company's AI data center business. HADL will be funded through a mix of equity from the Company and TPG, and debt. The Company and TPG have committed to collectively invest up to ₹18,000 crore over the next few years. Out of the total commitment of up to ₹18,000 crore, the Company will invest up to ₹9,180 crores and TPG will invest up to ₹8,820 crore. As at March 31, 2026, the Company has invested in equity shares and Class A compulsorily convertible preference shares of HADL amounting to ₹208 crore.

75,00,000 equity shares of face value per share of ₹10 have been consolidated into 7,50,000 equity shares of face value per share of ₹100 each. 7,80,000 Class A Compulsorily convertible preference shares of face value per share of ₹100 each have been converted to 7,80,000 equity shares of face value per share of ₹100 each.

The movement in fair value of investments carried / designated at fair value through OCI is as follows:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	784	339
Net gain / (loss) arising on revaluation of investments other than equities carried at fair value through other comprehensive income	(869)	603
Deferred tax relating to net gain / (loss) arising on revaluation of investments other than equities carried at fair value through other comprehensive income	219	(152)
Net cumulative gain reclassified to statement of profit and loss on sale of investments other than equities carried at fair value through other comprehensive income	(197)	(10)
Deferred tax relating to net cumulative gain reclassified to statement of profit and loss on sale of investments other than equities carried at fair value through other comprehensive income	49	4
Balance at the end of the year	(14)	784

(b) Trade receivables - Billed

Trade receivables - Billed (unsecured) consist of the following:

Trade receivables - Billed – Non-current

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Trade receivables - Billed	742	784
Less: Allowance for expected credit losses	(643)	(693)
Considered good	99	91

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Ageing for trade receivables – non-current outstanding as at March 31, 2026 is as follows:

Particulars	(₹ crore)					
	Not due	Outstanding for following periods from due date of payment				
		Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years
Trade receivables - Billed						
Undisputed trade receivables – considered good	-	-	-	-	156	549
Disputed trade receivables – considered good	-	-	-	2	3	32
	-	-	-	2	159	581
Less: Allowance for expected credit losses						(643)
						99
Trade receivables - Unbilled						102
						201

Ageing for trade receivables – non-current outstanding as at March 31, 2025 is as follows:

Particulars	(₹ crore)					
	Not due	Outstanding for following periods from due date of payment				
		Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years
Trade receivables - Billed						
Undisputed trade receivables – considered good	-	-	-	3	145	606
Disputed trade receivables – considered good	-	-	-	1	2	27
	-	-	-	4	147	633
Less: Allowance for expected credit losses						(693)
						91
Trade receivables - Unbilled						44
						135

Trade receivables - Billed – Current

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Trade receivables - Billed	49,132	44,591
Less: Allowance for expected credit losses	(350)	(279)
Considered good	48,782	44,312
Trade receivables - Billed	319	259
Less: Allowance for expected credit losses	(209)	(179)
Credit impaired	110	80
	48,892	44,392

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Ageing for trade receivables - billed – current outstanding as at March 31, 2026 is as follows:

Particulars	(₹ crore)					
	Not due	Outstanding for following periods from due date of payment				
		Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years
Trade receivables - Billed						
Undisputed trade receivables – considered good	36,549	7,056	1,131	4,214	68	63
Undisputed trade receivables – credit impaired	1	33	11	50	63	161
Disputed trade receivables – considered good	-	-	-	48	2	1
	36,550	7,089	1,142	4,312	133	225
Less: Allowance for expected credit losses						(559)
						48,892
Trade receivables - Unbilled						8,084
						56,976

Ageing for trade receivables - billed – current outstanding as at March 31, 2025 is as follows:

Particulars	(₹ crore)					
	Not due	Outstanding for following periods from due date of payment				
		Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years
Trade receivables - Billed						
Undisputed trade receivables – considered good	31,886	9,944	2,483	181	25	1
Undisputed trade receivables – credit impaired	-	7	20	51	63	118
Disputed trade receivables – considered good	13	42	16	-	-	-
	31,899	9,993	2,519	232	88	119
Less: Allowance for expected credit losses						(458)
						44,392
Trade receivables - Unbilled						7,375
						51,767

Above balances of trade receivables – billed include balances with related parties (Refer note 20).

(c) Cash and cash equivalents

Cash and cash equivalents consist of the following:

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Balances with banks		
In current accounts	1,713	1,890
In deposit accounts	118	712
Cheques on hand	_*	_*
Cash on hand	_*	_*
Remittances in transit	2	8
	1,833	2,610

*Represents value less than ₹0.50 crore.

The quarterly returns / statements filed by the Company with banks from whom the Company has been sanctioned working capital limits, are in agreement with the books of account of the Company.

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(d) Other balances with banks

Other balances with banks consist of the following:

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Earmarked balances with banks	565	862
Short-term bank deposits	2,388	3,680
	2,953	4,542

Earmarked balances with banks primarily relate to margin money for purchase of investments and unclaimed dividends.

(e) Loans

Loans (unsecured) consist of the following:

Loans – Non-current

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Considered good		
Inter-corporate deposits	750	-
Loans to employees	2	2
	752	2

Inter-corporate deposits yield fixed interest rate and are placed with financial institutions (related parties), who are authorised to accept and use such inter-corporate deposits as per regulations applicable to them.

Loans – Current

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Considered good		
Inter-corporate deposits	800	36
Loans to employees	4	6
Reverse Repo	900	-
	1,704	42

Inter-corporate deposits yield fixed interest rate. Inter-corporate deposit of ₹750 crore and NIL as at March 31, 2026 and 2025, respectively is placed with financial institution (related party), who is authorised to accept and use such inter-corporate deposit as per regulations applicable to them. Also, inter-corporate deposits of ₹50 crore and ₹36 crore are placed with subsidiaries as at March 31, 2026 and 2025, respectively.

Reverse repo are secured against Central Government securities and Treasury Bills, bearing an average interest rate of 6.65% per annum, with an overnight tenure, with a calendar maturity of 3 days. They are excluded from disclosures under Section 186 of Companies Act, 2013.

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Disclosures pursuant to Regulation 34(3) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and Section 186 of the Companies Act, 2013

Type of borrower	Purpose	As at March 31, 2026			Maximum amount outstanding during the year ended March 31, 2026	As at March 31, 2025			Maximum amount outstanding during the year ended March 31, 2025
		Interest rate	Amount outstanding (₹ crore)	% of Total		Interest rate	Amount outstanding (₹ crore)	% of Total	
Related Parties									
- Loans repayable on demand									
TRIL Bengaluru Real Estate Five Limited	For managing working capital requirements	-	-	-	-	8.50%	5	11.36	5
TRIL Bengaluru Real Estate Six Limited	For managing working capital requirements	-	-	-	-	8.50%	31	70.45	31
Total			-	-			36	81.81	

Particular of Loans given, Investment made or Guarantee given	Name of entity	Purpose for which the loan or guarantee is proposed to be utilised by the recipient	(₹ crore)	
			As at March 31, 2026	As at March 31, 2025
Inter-corporate deposits	TRIL Bengaluru Real Estate Five Limited	For managing working capital requirements	6	5
	TRIL Bengaluru Real Estate Six Limited	For managing working capital requirements	44	31
	Tata Capital Limited	For managing working capital requirements	1,000	-
	Tata Capital Housing Finance Limited	For managing working capital requirements	500	-

Details of investment made is provided in “carrying value of investment in equity instruments” table (Refer note 6(a)).

(f) Other financial assets

Other financial assets consist of the following:

Other financial assets – Non-current

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Security deposits	803	617
Long-term bank deposits	12	12
Interest receivable	43	1
Advance towards acquisition of investment	250	-
Fair value of call option	17	-
Others	35	27
	1,160	657

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Other financial assets – Current

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Security deposits	197	323
Fair value of foreign exchange derivative assets	278	390
Interest receivable	583	652
Advances to employees	226	240
Less: Allowance for advances to employees	(59)	(50)
Others	425	900
	1,650	2,455

(g) Dues of small enterprises and micro enterprises

The disclosure pursuant to the Micro, Small and Medium Enterprises Development Act, 2006, (MSMED Act) for dues to micro enterprises and small enterprises as at March 31, 2026 and 2025 is as under:

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Dues remaining unpaid to any supplier		
Principal	147	160
Interest on the above	-	-
Amount of interest paid in terms of section 16 of the MSMED Act, 2006, along with the amount of the payment made to the supplier beyond the appointed day during each accounting year	24	18
Amount of interest due and payable for the period of delay in making payment (which has been paid but beyond the appointed day during the year) but without adding the interest specified under the MSMED Act, 2006	-	-
Amount of interest accrued and remaining unpaid	-	-
Amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise, for the purpose of disallowance as a deductible expenditure under section 23 of MSMED Act, 2006	-	-

(h) Trade payables

Ageing for trade payables outstanding as at March 31, 2026 is as follows:

						(₹ crore)
Particulars	Not due	Outstanding for following periods from due date of payment				Total
		Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade payables						
MSME*	137	-	-	-	-	137
Others	4,027	4,267	3860	393	68	12,615
Disputed dues - Others	-	-	-	-	29	29
	4,164	4,267	3860	393	97	12,781
Accrued expenses						5,318
						18,099

*MSME as per the Micro, Small and Medium Enterprises Development Act, 2006.

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Ageing for trade payables outstanding as at March 31, 2025 is as follows:

Particulars	(₹ crore)				
	Not due	Outstanding for following periods from due date of payment			
		Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years
Trade payables					
MSME*	156	-	-	-	-
Others	3,394	8,401	430	12	58
Disputed dues - Others	-	-	-	-	29
	3,550	8,401	430	12	87
Accrued expenses					
					5,003
					17,483

*MSME as per the Micro, Small and Medium Enterprises Development Act, 2006.

(i) Other financial liabilities

Other financial liabilities consist of the following:

Other financial liabilities – Non-current

	(₹ crore)	
	As at	As at
	March 31, 2026	March 31, 2025
Capital creditors	-	60
Liabilities towards customer contracts	202	316
Deferred consideration on acquisition of subsidiary (Refer note 6(a))	18	-
Others	269	250
	489	626

Others include advance taxes paid of ₹226 crore and ₹226 crore as at March 31, 2026 and 2025, respectively, by the seller of TCS e-Serve Limited (merged with the Company) which, on refund by tax authorities is payable to the seller.

Other financial liabilities – Current

	(₹ crore)	
	As at	As at
	March 31, 2026	March 31, 2025
Accrued payroll	5,167	3,728
Unclaimed dividends	63	60
Fair value of foreign exchange derivative liabilities	471	146
Capital creditors	484	660
Liabilities towards customer contracts	1,211	1,231
Liabilities towards acquisition of subsidiaries	3	557
Deferred consideration on acquisition of subsidiary (Refer note 6(a))	20	-
Others	1,033	169
	8,452	6,551

Others include liabilities for forward contract settlements of ₹670 crore and ₹30 crore as at March 31, 2026 and 2025, respectively.

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(j) Financial instruments by category

The carrying value of financial instruments by categories as at March 31, 2026 is as follows:

	(₹ crore)					
	Fair value through profit or loss	Fair value through other comprehensive income	Derivative instruments in hedging relationship	Derivative instruments not in hedging relationship	Amortised cost	Total carrying value
Financial assets						
Cash and cash equivalents	-	-	-	-	1,833	1,833
Bank deposits	-	-	-	-	2,400	2,400
Earmarked balances with banks	-	-	-	-	565	565
Investments (other than in subsidiary)	1,104	26,158	-	-	2,647	29,909
Trade receivables						
Billed	-	-	-	-	48,991	48,991
Unbilled	-	-	-	-	8,186	8,186
Loans	-	-	-	-	2,456	2,456
Other financial assets	17	-	39	239	2,503	2,798
	1,121	26,158	39	239	69,581	97,138
Financial liabilities						
Trade payables	-	-	-	-	18,099	18,099
Lease liabilities	-	-	-	-	9,354	9,354
Other financial liabilities	38	-	-	471	8,432	8,941
	38	-	-	471	35,885	36,394

Loans include inter-corporate deposits of ₹1,550 crore with original maturity of maximum 24 months and reverse repo of ₹900 crore with an overnight tenure, with a calendar maturity of 3 days.

The carrying value of financial instruments by categories as at March 31, 2025 is as follows:

	(₹ crore)					
	Fair value through profit or loss	Fair value through other comprehensive income	Derivative instruments in hedging relationship	Derivative instruments not in hedging relationship	Amortised cost	Total carrying value
Financial assets						
Cash and cash equivalents	-	-	-	-	2,610	2,610
Bank deposits	-	-	-	-	3,692	3,692
Earmarked balances with banks	-	-	-	-	862	862
Investments (other than in subsidiary)	1,030	27,773	-	-	-	28,803
Trade receivables						
Billed	-	-	-	-	44,483	44,483
Unbilled	-	-	-	-	7,419	7,419
Loans	-	-	-	-	44	44
Other financial assets	-	-	33	357	2,710	3,100
	1,030	27,773	33	357	61,820	91,013
Financial liabilities						
Trade payables	-	-	-	-	17,483	17,483
Lease liabilities	-	-	-	-	7,577	7,577
Other financial liabilities	-	-	-	146	7,031	7,177
	-	-	-	146	32,091	32,237

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Loans include inter-corporate deposits of ₹36 crore with original maturity of maximum 12 months.

Carrying amounts of cash and cash equivalents, trade receivables, loans and trade payables as at March 31, 2026 and 2025, approximate the fair value due to their nature. Carrying amounts of bank deposits, earmarked balances with banks, other financial assets and other financial liabilities which are subsequently measured at amortised cost also approximate the fair value due to their nature in each of the periods presented. Fair value measurement of lease liabilities is not required.

(k) Fair value hierarchy

The fair value hierarchy is based on inputs to valuation techniques that are used to measure fair value that are either observable or unobservable and consists of the following three levels:

- Level 1 – Inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 – Inputs are other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 – Inputs are not based on observable market data (unobservable inputs). Fair values are determined in whole or in part using a valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data.

The cost of unquoted investments included in Level 3 of fair value hierarchy approximate their fair value because there is a wide range of possible fair value measurements and the cost represents estimate of fair value within that range.

The following table summarises financial assets and liabilities measured at fair value on a recurring basis and financial assets that are not measured at fair value on a recurring basis (but fair value disclosures are required):

	(₹ crore)			
As at March 31, 2026	Level 1	Level 2	Level 3	Total
Financial assets				
Mutual fund units	1,104	-	-	1,104
Equity shares	-	-	-	-
Government bonds and securities	21,450	-	-	21,450
Corporate bonds and debentures	4,708	-	-	4,708
Certificate of deposits	1,583	-	-	1,583
Commercial papers	1,064	-	-	1,064
Fair value of foreign exchange derivative assets	-	278	-	278
Fair value of call option	-	-	17	17
	29,909	278	17	30,204
Financial liabilities				
Fair value of foreign exchange derivative liabilities	-	471	-	471
Deferred consideration on acquisition of subsidiary (Refer note 6(a))	-	-	38	38
	-	471	38	509

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	(₹ crore)			
As at March 31, 2025	Level 1	Level 2	Level 3	Total
Financial assets				
Mutual fund units	1,030	-	-	1,030
Equity shares	-	-	-	-
Government bonds and securities	23,844	-	-	23,844
Corporate bonds and debentures	3,929	-	-	3,929
Fair value of foreign exchange derivative assets	-	390	-	390
	28,803	390	-	29,193
Financial liabilities				
Fair value of foreign exchange derivative liabilities	-	146	-	146
	-	146	-	146

Reconciliation of Level 3 fair value measurement of financial assets is as follows:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	-	-
Additions during the year	17	-
Balance at the end of the year	17	-

If the volatility increases / decreases by 1%, the fair value of call option would increase / (decrease) as follows:

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Increase of 1%	3	-
Decrease of 1%	(3)	-

If the risk free interest rate increases / decreases by 0.50%, the fair value of call option would increase / (decrease) as follows:

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Increase of 0.50%	1	-
Decrease of 0.50%	(1)	-

Following table describes the valuation techniques used and key inputs thereto for the level 3 financial assets:

Financial assets	Valuation technique	Significant unobservable input	Significant unobservable input range		Inter-relationship between significant unobservable input and fair value measurement
			As at March 31, 2026	As at March 31, 2025	
Call option	Black-Scholes Option Pricing Model	Volatility of the property price	20.00%	-	The estimated fair value of call option will Increase / (decrease) if the volatility of the property price is higher / (lower)
		Risk free interest rate	5.87%	-	The estimated fair value of call option will Increase / (decrease) if the risk free interest rate is higher / (lower)

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Reconciliation of Level 3 fair value measurement of financial liabilities is as follows:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	-	-
Additions during the year	38	-
Balance at the end of the year	38	-

The fair valuation is determined based on present value of deferred consideration and risk free discount rates using net present value method. There were no significant inter-relationship between unobservable inputs that materially affects fair value. If the risk free discount rate increases or decreases by 1%, the impact on the net present value will not be material.

(I) Derivative financial instruments and hedging activity

The Company's revenue is denominated in various foreign currencies. Given the nature of the business, a large portion of the costs are denominated in Indian Rupee. This exposes the Company to currency fluctuations.

The Board of Directors has constituted a Risk Management Committee (RMC) to frame, implement and monitor the risk management plan of the Company which inter-alia covers risks arising out of exposure to foreign currency fluctuations. Under the guidance and framework provided by the RMC, the Company uses various derivative instruments such as foreign exchange forward, currency options and futures contracts in which the counter party is generally a bank.

The following are outstanding currency options contracts, which have been designated as cash flow hedges:

Foreign currency	As at March 31, 2026			As at March 31, 2025		
	No. of contracts	Notional amount of contracts (In million)	Fair value (₹ crore)	No. of contracts	Notional amount of contracts (In million)	Fair value (₹ crore)
US Dollar	12	300	2	-	-	-
Great Britain Pound	22	215	22	23	220	18
Euro	22	215	15	25	235	15

The movement in cash flow hedging reserve for derivatives designated as cash flow hedges is as follows:

	(₹ crore)			
	Year ended March 31, 2026		Year ended March 31, 2025	
	Intrinsic value	Time value	Intrinsic value	Time value
Balance at the beginning of the year	9	(24)	9	(18)
(Gain) / loss transferred to profit and loss on occurrence of forecasted hedge transactions	(15)	299	(193)	234
Deferred tax on (gain) / loss transferred to profit and loss on occurrence of forecasted hedge transactions	4	(75)	48	(60)
Change in the fair value of effective portion of cash flow hedges	6	(299)	194	(243)
Deferred tax on change in the fair value of effective portion of cash flow hedges	(2)	75	(49)	63
Balance at the end of the year	2	(24)	9	(24)

The Company has entered into derivative instruments not in hedging relationship by way of foreign exchange forward, currency options and futures contracts. As at March 31, 2026 and 2025, the notional amount of outstanding contracts aggregated to ₹61,536 crore and ₹51,859 crore, respectively, and the respective fair value of these contracts have a net loss of ₹232 crore and net gain of ₹211 crore.

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Exchange loss of ₹2,903 crore and ₹316 crore on foreign exchange forward, currency options and futures contracts that do not qualify for hedge accounting have been recognised in the standalone statement of profit and loss for the years ended March 31, 2026 and 2025, respectively.

Net foreign exchange gain / (loss) include loss of ₹284 crore and ₹41 crore transferred from cash flow hedging reserve to the standalone statement of profit and loss on occurrence of forecasted hedge transactions for the years ended March 31, 2026 and 2025, respectively.

Net loss on derivative instruments of ₹22 crore recognised in cash flow hedging reserve as at March 31, 2026, is expected to be transferred to the statement of profit and loss by March 31, 2027. The maximum period over which the exposure to cash flow variability has been hedged is through calendar year 2026.

Following table summarises approximate gain / (loss) on the Company's other comprehensive income on account of appreciation / depreciation of the underlying foreign currencies:

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
10% appreciation of the underlying foreign currencies	2	-
10% depreciation of the underlying foreign currencies	665	437

(m) Financial risk management

The Company is exposed primarily to fluctuations in foreign currency exchange rates, credit, liquidity and interest rate risks, which may adversely impact the fair value of its financial instruments. The Company has a risk management policy which covers risks associated with the financial assets and liabilities. The risk management policy is approved by the Board of Directors. The focus of the risk management committee is to assess the unpredictability of the financial environment and to mitigate potential adverse effects on the financial performance of the Company.

Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Such changes in the values of financial instruments may result from changes in the foreign currency exchange rates, interest rates, credit, liquidity and other market changes. The Company's exposure to market risk is primarily on account of foreign currency exchange rate risk.

• **Foreign currency exchange rate risk**

The fluctuation in foreign currency exchange rates may have potential impact on the statement of profit and loss and other comprehensive income and equity, where any transaction references more than one currency or where assets / liabilities are denominated in a currency other than the functional currency of the Company. Considering the countries and economic environment in which the Company operates, its operations are subject to risks arising from fluctuations in exchange rates in those countries.

The Company, as per its risk management policy, uses derivative instruments primarily to hedge foreign exchange. Further, any movement in the functional currency of the various operations of the Company against major foreign currencies may impact the Company's revenue in international business.

The Company evaluates the impact of foreign exchange rate fluctuations by assessing its exposure to exchange rate risks. It hedges a part of these risks by using derivative financial instruments in line with its risk management policies.

The foreign exchange rate sensitivity is calculated by aggregation of the net foreign exchange rate exposure and a simultaneous parallel foreign exchange rates shift of all the currencies by 10% against the functional currency of the Company.

The following analysis has been worked out based on the net exposures of the Company as of the date of balance sheet which could affect the statement of profit and loss and other comprehensive income and equity. Further the exposure as indicated below is mitigated by some of the derivative contracts entered into by the Company as disclosed in note 6(l).

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The following table sets forth information relating to unhedged foreign currency exposure as at March 31, 2026:

	(₹ crore)			
	USD	EUR	GBP	Others
Net financial assets	1,043	625	1,209	2,342
Net financial liabilities	(12,210)	(756)	(1,755)	(872)

10% appreciation / depreciation of the functional currency of the Company with respect to various foreign currencies would result in increase / decrease in the Company's profit before taxes by approximately ₹1,037 crore for the year ended March 31, 2026.

The following table sets forth information relating to unhedged foreign currency exposure as at March 31, 2025:

	(₹ crore)			
	USD	EUR	GBP	Others
Net financial assets	7,508	533	526	2,327
Net financial liabilities	(10,726)	(350)	(376)	(862)

10% appreciation / depreciation of the functional currency of the Company with respect to various foreign currencies would result in increase / decrease in the Company's profit before taxes by approximately ₹142 crore for the year ended March 31, 2025.

• **Interest rate risk**

The Company's investments are primarily in fixed rate interest bearing investments. Hence, the Company is not significantly exposed to interest rate risk.

Credit risk

Credit risk is the risk of financial loss arising from counterparty failure to repay or service debt according to the contractual terms or obligations. Credit risk encompasses of both, the direct risk of default and the risk of deterioration of creditworthiness as well as concentration of risks. Credit risk is controlled by analysing credit limits and creditworthiness of customers on a continuous basis to whom the credit has been granted after obtaining necessary approvals for credit. Refer note 4 for methods, assumptions and information used to measure expected credit losses.

Financial instruments that are subject to credit risk consist of trade receivables, loans, investments, derivative financial instruments, cash and cash equivalents, bank deposits and other financial assets. Loans include Inter-corporate deposits of ₹1,550 crore placed with subsidiaries and financial institutions as at March 31, 2026 and ₹36 crore placed with subsidiaries as at March 31, 2025. Loans also include reverse repo of ₹900 crore and NIL as at March 31, 2026 and 2025, respectively. Bank deposits include an amount of ₹2,400 crore held with two banks and ₹3,692 crore held with two banks, having high credit rating which are individually in excess of 10% or more of the Company's total bank deposits as at March 31, 2026 and 2025, respectively. None of the other financial instruments of the Company result in material concentration of credit risk.

• **Exposure to credit risk**

The carrying amount of financial assets and contract assets represents the maximum credit exposure. The maximum exposure to credit risk was ₹1,03,699 crore and ₹96,535 crore as at March 31, 2026 and 2025, respectively, being the total of the carrying amount of balances with banks, bank deposits, investments excluding equity and preference investments, trade receivables, loans, contract assets and other financial assets.

The Company's exposure to customers is diversified. As at March 31, 2026, no customer held more than 10% of the outstanding of trade receivables and contract assets. As at March 31, 2025, a single customer held more than 10% of the outstanding of trade receivables and contract assets at 10.28%.

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• **Geographic concentration of credit risk**

Geographic concentration of trade receivables (gross and net of allowances) and contract assets is as follows:

	As at March 31, 2026		As at March 31, 2025	
	Gross%	Net%	Gross%	Net%
United States of America	46.50	47.15	45.08	45.80
India	19.31	18.08	21.98	20.68
United Kingdom	15.19	15.44	15.62	15.88
Europe	8.53	8.69	7.40	7.55

Geographic concentration of trade receivables (gross and net of allowances) and contract assets is allocated based on the location of the customers.

The allowance for lifetime expected credit losses on trade receivables for the years ended March 31, 2026 and 2025 was ₹160 crore and ₹62 crore, respectively. The reconciliation of allowance for expected credit losses is as follows:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	1,151	1,088
Change during the year	160	62
Bad debts written off	(126)	-
Translation exchange difference	17	1
Balance at the end of the year	1,202	1,151

Liquidity risk

Liquidity risk refers to the risk that the Company cannot meet its financial obligations. The objective of liquidity risk management is to maintain sufficient liquidity and ensure that funds are available for use as per requirements. The Company consistently generated sufficient cash flows from operations to meet its financial obligations including lease liabilities as and when they fall due.

The tables below provide details regarding the contractual maturities of significant financial liabilities as at:

March 31, 2026	(₹ crore)				
	Due in 1st year	Due in 2nd year	Due in 3rd to 5th year	Due after 5th year	Total
Non-derivative financial liabilities					
Trade payables	18,099	-	-	-	18,099
Lease liabilities	1,877	1,664	4,166	4,871	12,578
Other financial liabilities	7,982	165	296	28	8,471
	27,958	1,829	4,462	4,899	39,148
Derivative financial liabilities	471	-	-	-	471
	28,429	1,829	4,462	4,899	39,619

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March 31, 2025	(₹ crore)				
	Due in 1st year	Due in 2nd year	Due in 3rd to 5th year	Due after 5th year	Total
Non-derivative financial liabilities					
Trade payables	17,483	-	-	-	17,483
Lease liabilities	1,602	1,401	3,255	4,019	10,277
Other financial liabilities	6,418	217	409	-	7,044
	25,503	1,618	3,664	4,019	34,804
Derivative financial liabilities					
	146	-	-	-	146
	25,649	1,618	3,664	4,019	34,950

(n) Equity instruments

The authorised, issued, subscribed and fully paid up share capital consist of the following:

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Authorised		
460,05,00,000 equity shares of ₹1 each (March 31, 2025: 460,05,00,000 equity shares of ₹1 each)	460	460
105,02,50,000 preference shares of ₹1 each (March 31, 2025: 105,02,50,000 preference shares of ₹1 each)	105	105
	565	565
Issued, Subscribed and Fully paid up		
361,80,87,518 equity shares of ₹1 each (March 31, 2025: 361,80,87,518 equity shares of ₹1 each)	362	362
	362	362

The Company's objective for capital management is to maximise shareholder value, safeguard business continuity and support the growth of the Company. The Company determines the capital requirement based on annual operating plans and long-term and other strategic investment plans. The funding requirements are met through equity and operating cash flows generated. The Company is not subject to any externally imposed capital requirements.

I. Reconciliation of number of shares

	Year ended March 31, 2026		Year ended March 31, 2025	
	Number of shares	Amount (₹ crore)	Number of shares	Amount (₹ crore)
Equity shares				
Opening balance	361,80,87,518	362	361,80,87,518	362
Change during the year	-	-	-	-
Closing balance	361,80,87,518	362	361,80,87,518	362

II. Rights, preferences and restrictions attached to shares

The Company has one class of equity shares having a par value of ₹1 each. Each shareholder is eligible for one vote per share held and carry a right to dividend. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting, except in case of interim dividend. In the event of liquidation, the equity shareholders are eligible to receive the remaining assets of the Company after distribution of all preferential amounts, in proportion to their shareholding.

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III. Shares held by Holding Company, its Subsidiaries and Associates

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Equity shares		
Holding company		
259,54,99,419 equity shares (March 31, 2025: 259,54,99,419 equity shares) are held by Tata Sons Private Limited	260	260
Subsidiaries and Associates of Holding company		
7220 equity shares (March 31, 2025: 7,220 equity shares) are held by Tata Industries Limited*	-	-
10,04,425 equity shares (March 31, 2025: 10,04,425 equity shares) are held by Tata Investment Corporation Limited*	-	-
46,798 equity shares (March 31, 2025: 46,798 equity shares) are held by Tata Steel Limited*	-	-
766 equity shares (March 31, 2025: 766 equity shares) are held by The Tata Power Company Limited*	-	-
	260	260

*Equity shares having value less than ₹0.50 crore.

IV. Details of shares held by shareholders holding more than 5% of the aggregate shares in the Company

	As at March 31, 2026	As at March 31, 2025
Equity shares		
Tata Sons Private Limited, the holding company	259,54,99,419	259,54,99,419
% of shareholding	71.74%	71.74%

V. Equity shares movement during five years preceding March 31, 2026

The Company bought back 4,09,63,855 equity shares for an aggregate amount of ₹17,000 crore being 1.12% of the total paid up equity share capital at ₹4,150 per equity share. The equity shares bought back were extinguished on December 13, 2023.

The Company bought back 4,00,00,000 equity shares for an aggregate amount of ₹18,000 crore being 1.08% of the total paid up equity share capital at ₹4,500 per equity share. The equity shares bought back were extinguished on March 29, 2022.

The Company bought back 5,33,33,333 equity shares for an aggregate amount of ₹16,000 crore being 1.42% of the total paid up equity share capital at ₹3,000 per equity share. The equity shares bought back were extinguished on January 6, 2021.

VI. Disclosure of shareholding of promoters

Disclosure of shareholding of promoters as at March 31, 2026 is as follows:

Promoter name	Shares held by promoters				% Change during the year
	As at March 31, 2026		As at March 31, 2025		
	No. of shares	% of total shares	No. of shares	% of total shares	
Tata Sons Private Limited	259,54,99,419	71.74%	259,54,99,419	71.74%	-
Total	259,54,99,419	71.74%	259,54,99,419	71.74%	

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Disclosure of shareholding of promoters as at March 31, 2025 is as follows:

Promoter name	Shares held by promoters				% Change during the year
	As at March 31, 2025		As at March 31, 2024		
	No. of shares	% of total shares	No. of shares	% of total shares	
Tata Sons Private Limited	259,54,99,419	71.74%	259,54,99,419	71.74%	-
Total	259,54,99,419	71.74%	259,54,99,419	71.74%	

7) Leases

A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Company as a lessee

The Company accounts for each lease component within the contract as a lease separately from non-lease components of the contract and allocates the consideration in the contract to each lease component on the basis of the relative standalone price of the lease component and the aggregate standalone price of the non-lease components.

The Company recognises right-of-use asset representing its right to use the underlying asset for the lease term at the lease commencement date. The cost of the right-of-use asset measured at inception shall comprise of the amount of the initial measurement of the lease liability adjusted for any lease payments made at or before the commencement date less any lease incentives received, plus any initial direct costs incurred and an estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset or restoring the underlying asset or site on which it is located. The right-of-use asset is subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any and adjusted for any remeasurement of the lease liability. The right-of-use asset is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset. The estimated useful lives of right-of-use assets are determined on the same basis as those of property, plant and equipment. Right-of-use assets are tested for impairment whenever there is any indication that their carrying amounts may not be recoverable. Impairment loss, if any, is recognised in the statement of profit and loss.

The Company measures the lease liability at the present value of the lease payments that are not paid at the commencement date of the lease. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Company uses incremental borrowing rate. For leases with reasonably similar characteristics, the Company, on a lease-by-lease basis, may adopt either the incremental borrowing rate specific to the lease or the incremental borrowing rate for the portfolio as a whole. The lease payments shall include fixed payments, variable lease payments, residual value guarantees, exercise price of a purchase option where the Company is reasonably certain to exercise that option and payments of penalties for terminating the lease, if the lease term reflects the lessee exercising an option to terminate the lease. The lease liability is subsequently remeasured by increasing the carrying amount to reflect interest on the lease liability, reducing the carrying amount to reflect the lease payments made and remeasuring the carrying amount to reflect any reassessment or lease modifications or to reflect revised in-substance fixed lease payments. The Company recognises the amount of the re-measurement of lease liability due to modification as an adjustment to the right-of-use asset and statement of profit and loss depending upon the nature of modification. Where the carrying amount of the right-of-use asset is reduced to zero and there is a further reduction in the measurement of the lease liability, the Company recognises any remaining amount of the re-measurement in statement of profit and loss.

The Company has elected not to apply the requirements of Ind AS 116 - Leases to short-term leases of all assets that have a lease term of 12 months or less and leases for which the underlying asset is of low value. The lease payments associated with these leases are recognised as an expense on a straight-line basis over the lease term.

Company as a lessor

At the inception of the lease the Company classifies each of its leases as either an operating lease or a finance lease. The Company recognises lease payments received under operating leases as income on a straight-line basis over the lease term. In case of a finance lease, finance income is recognised over the lease term based on a pattern reflecting a constant periodic rate of return on the lessor's net investment in the lease. When the Company is an intermediate lessor it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with

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reference to the underlying asset. If a head lease is a short-term lease to which the Company applies the exemption described above, then it classifies the sub-lease as an operating lease.

If an arrangement contains lease and non-lease components, the Company applies Ind AS 115 - Revenue from contracts with customers to allocate the consideration in the contract.

The details of the right-of-use assets held by the Company is as follows:

	(₹ crore)	
	Additions for the year ended March 31, 2026	Net carrying amount as at March 31, 2026
Leasehold land	8	914
Buildings	3,381	8,117
Leasehold improvements	21	48
Computer equipment	104	160
Software licences	-	2
Vehicles	1	2
Furniture and fixtures	1	2
	3,516	9,245

	(₹ crore)	
	Additions for the year ended March 31, 2025	Net carrying amount as at March 31, 2025
Leasehold land	-	917
Buildings	2,736	6,494
Leasehold improvements	41	38
Computer equipment	-	117
Software licences	-	31
Vehicles	1	2
Furniture and fixtures	-	2
	2,778	7,601

Depreciation on right-of-use assets is as follows:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Leasehold land	11	11
Buildings [#]	1,418	1,201
Leasehold improvements	11	4
Computer equipment	53	35
Software licences	29	29
Vehicles	1	-*
Furniture and fixtures	1	-*
	1,524	1,280

[#]Out of this, directly attributable costs of ₹113 crore and NIL towards leasehold improvements have been transferred to capital work-in-progress for years ended March 31, 2026 and 2025, respectively.

*Represents value less than ₹0.50 crore.

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Changes in lease liabilities are as follows:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Balance as at beginning of the year	7,577	6,145
Additions during the year	3,303	2,548
Repayment of lease liabilities during the year	(1,292)	(1,112)
Other non-cash movements	(352)	(35)
Translation exchange difference	118	31
Balance as at end of the year	9,354	7,577

Interest on lease liabilities is ₹683 crore and ₹556 crore for the years ended March 31, 2026 and 2025, respectively.

The Company incurred ₹266 crore and ₹199 crore for the years ended March 31, 2026 and 2025, respectively, towards expenses relating to short-term leases and leases of low-value assets.

The total cash outflow for leases is ₹2,346 crore and ₹1,961 crore for the years ended March 31, 2026 and 2025, respectively, including cash outflow for short term leases and leases of low-value assets.

The Company has lease term extension options that are not reflected in the measurement of lease liabilities. The present value of future cash outflows for such extension periods is ₹1,041 crore and ₹943 crore as at March 31, 2026 and 2025, respectively.

Lease contracts entered by the Company majorly pertain for buildings taken on lease to conduct its business in the ordinary course.

The Company does not have any lease restrictions and commitment towards variable rent as per the contract.

8) Non-financial assets and non-financial liabilities

(a) Property, plant and equipment

The Company recognises the cost of an item of property, plant and equipment as an asset if, and only if it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can measured reliably.

Property, plant and equipment are stated at cost comprising of purchase price and any initial directly attributable cost of bringing the asset to its working condition for its intended use, less accumulated depreciation (other than freehold land) and impairment loss, if any.

Depreciation is provided for property, plant and equipment on a straight-line basis so as to expense the cost less residual value over their estimated useful lives as prescribed in Schedule II of the Companies Act, 2013 except in respect of certain categories of assets, where the useful life of the assets has been assessed based on a technical evaluation. The estimated useful lives and residual values are reviewed at the end of each reporting period, with the effect of any change in estimate accounted for on a prospective basis.

The estimated useful lives are as mentioned below:

Type of asset	Useful lives
Buildings	20 years*
Leasehold improvements	Lease term
Plant and equipment	10 years*
Computer equipment	4 years*
Vehicles	4 years*
Office equipment	2-5 years*
Electrical installations	4-10 years*
Furniture and fixtures	5 years*

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*The Company believes that the technically evaluated useful lives, different from Schedule II of the Companies Act, 2013, best represent the period over which these assets are expected to be used.

Capital work-in-progress are stated at cost less impairment loss, if any. Depreciation is not recorded on capital work-in-progress until construction and installation are complete and the asset is ready for its intended use.

Property, plant and equipment with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

The carrying amount of an item of property, plant and equipment shall be derecognised on disposal or when no future economic benefits are expected from its use or disposal.

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Property, plant and equipment consist of the following:

	(₹ crore)									
	Freehold land	Buildings	Leasehold improvements	Plant and equipment	Computer equipment	Vehicles	Office equipment	Electrical installations	Furniture and fixtures	Total
Cost as at April 1, 2025	323	8,629	1,993	979	11,901	51	2,791	2,104	1,833	30,604
Additions	-	63	236	50	1,336	9	231	75	88	2,088
Disposals	-	(7)	(59)	(5)	(1,046)	(4)	(95)	(28)	(30)	(1,274)
Cost as at March 31, 2026	323	8,685	2,170	1,024	12,191	56	2,927	2,151	1,891	31,418
Accumulated depreciation as at April 1, 2025	-	(4,489)	(1,499)	(614)	(9,942)	(37)	(2,433)	(1,684)	(1,560)	(22,258)
Depreciation	-	(418)	(118)	(78)	(1,156)	(8)	(162)	(105)	(97)	(2,142)
Disposals	-	7	59	4	1,016	4	95	26	30	1,241
Accumulated depreciation as at March 31, 2026	-	(4,900)	(1,558)	(688)	(10,082)	(41)	(2,500)	(1,763)	(1,627)	(23,159)
Net carrying amount as at March 31, 2026	323	3,785	612	336	2,109	15	427	388	264	8,259
Capital work-in-progress										2,402
Total										10,661

	(₹ crore)									
	Freehold land	Buildings	Leasehold improvements	Plant and equipment	Computer equipment	Vehicles	Office equipment	Electrical installations	Furniture and fixtures	Total
Cost as at April 1, 2024	323	8,163	1,968	861	11,435	43	2,611	1,968	1,690	29,062
Additions	-	467	46	118	1,085	11	225	149	153	2,254
Disposals	-	(1)	(21)	-	(619)	(3)	(45)	(13)	(10)	(712)
Cost as at March 31, 2025	323	8,629	1,993	979	11,901	51	2,791	2,104	1,833	30,604
Accumulated depreciation as at April 1, 2024	-	(4,078)	(1,408)	(526)	(9,287)	(35)	(2,332)	(1,576)	(1,484)	(20,726)
Depreciation	-	(412)	(112)	(88)	(1,271)	(5)	(146)	(121)	(86)	(2,241)
Disposals	-	1	21	-	616	3	45	13	10	709
Accumulated depreciation as at March 31, 2025	-	(4,489)	(1,499)	(614)	(9,942)	(37)	(2,433)	(1,684)	(1,560)	(22,258)
Net carrying amount as at March 31, 2025	323	4,140	494	365	1,959	14	358	420	273	8,346
Capital work-in-progress										1,318
Total										9,664

Capital work-in-progress

- | | (₹ crore) | |
|--------------------------------------|------------------------------|------------------------------|
| | Year ended
March 31, 2026 | Year ended
March 31, 2025 |
| Balance at the beginning of the year | 1,318 | 1,450 |
| Additions during the year | 3,172 | 2,122 |
| Capitalised during the year | (2,088) | (2,254) |
| Balance at the end of the year | 2,402 | 1,318 |

- | | | | | | (₹ crore) |
|--------------------------|--|-------------|-------------|-------------------|--------------|
| Capital work-in-progress | Amount in capital work-in-progress for a period of | | | | Total |
| | Less than 1 year | 1 - 2 years | 2 - 3 years | More than 3 years | |
| | Projects in progress | 1480 | 567 | 168 | |
| | 1480 | 567 | 168 | 187 | 2,402 |

					(₹ crore)
Capital work-in-progress	Amount in capital work-in-progress for a period of				Total
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
	Projects in progress	878	222	70	
	878	222	70	148	1,318

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone financial statements

Intangible assets consist of the following:

	(₹ crore)
	Rights under licensing agreement and software licences
Cost as at April 1, 2025	2,774
Additions	63
Disposals / Derecognised	(1,937)
Cost as at March 31, 2026	900
Accumulated amortisation as at April 1, 2025	(1,896)
Amortisation	(735)
Disposals / Derecognised	1,937
Accumulated amortisation as at March 31, 2026	(694)
Net carrying amount as at March 31, 2026	206

	(₹ crore)
	Rights under licensing agreement and software licences
Cost as at April 1, 2024	1,818
Additions	1,114
Disposals / Derecognised	(158)
Cost as at March 31, 2025	2,774
Accumulated amortisation as at April 1, 2024	(1,355)
Amortisation	(699)
Disposals / Derecognised	158
Accumulated amortisation as at March 31, 2025	(1,896)
Net carrying amount as at March 31, 2025	878

The estimated amortisation for the years subsequent to March 31, 2026 is as follows:

	(₹ crore)
Year ending March 31,	Amortisation expense
2027	104
2028	61
2029	30
2030	11
	206

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone financial statements

(c) Other assets

Other assets consist of the following:

Other assets – Non-current

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Considered good		
Capital advances	374	180
Advances to related parties	105	226
Contract assets	273	171
Prepaid expenses	425	2,013
Contract fulfillment costs	71	132
Others	178	178
	1,426	2,900

Advances to related parties, considered good, comprise:

Tata Realty and Infrastructure Limited	-	-*
Tata Projects Limited	101	224
Titan Engineering and Automation Limited	2	2
Universal MEP Projects & Engineering Services Limited	2	-*

*Represents value less than ₹0.50 crore.

Other assets – Current

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Considered good		
Advance to suppliers	174	152
Advance to related parties	1,515	1,560
Contract assets	6,288	5,351
Prepaid expenses	2,049	2,136
Contract fulfillment costs	1,720	1,557
Indirect taxes recoverable	1,849	1,700
Others	397	242
Considered doubtful		
Advance to suppliers	2	2
Other advances	2	2
Less: Allowance for doubtful assets	(4)	(4)
	13,992	12,698

Advance to related parties, considered good comprise:

Tata AIG General Insurance Company Limited	12	1
Titan Company Limited	8	1
Tejas Networks Limited	1,335	1,460
Tata Consultancy Services Deutschland GmbH	27	18
Tata Consultancy Services De Mexico, S.A. De C.V.	9	5
Tata Consultancy Services (South Africa) (Proprietary) Limited	1	1
Tata Consultancy Services Do Brasil Ltda.	4	2
Tata Consultancy Services Italia S.R.L.	1	1
Tata Consultancy Services Japan, Ltd.	17	7
Tata America International Corporation	97	62
Tata Consultancy Services (China) Co., Ltd.	4	2

Non-current – Others includes advance of ₹177 crore and ₹177 crore towards acquiring right-of-use of leasehold land as at March 31, 2026 and 2025, respectively.

TATA CONSULTANCY SERVICES LIMITED
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Contract fulfillment costs of ₹763 crore and ₹659 crore for the years ended March 31, 2026 and 2025, respectively, have been amortised in the standalone statement of profit and loss. Refer note 10 for the changes in contract assets.

(d) Inventories

Inventories consists of a) Raw materials, sub-assemblies and components, b) Work-in-progress, c) Stores and spare parts and d) Finished goods. Inventories are carried at lower of cost and net realisable value. The cost of raw materials, sub-assemblies and components is determined on a weighted average basis. Cost of finished goods produced or purchased by the Company includes direct material and labour cost and a proportion of manufacturing overheads.

Inventories consist of the following:

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Raw materials, sub-assemblies and components	26	19
Finished goods and work-in-progress	3	1
	29	20

(e) Other liabilities

Other liabilities consist of the following:

Other liabilities – Current

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Advance received from customers	616	1,815
Indirect taxes payable and other statutory liabilities	3,199	2,826
Others	639	469
	4,454	5,110

(f) Provisions

Provisions consist of the following:

Provisions – Current

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Provision towards legal claim (Refer note 19)	1,062	-
Provision for foreseeable loss	84	91
Other provisions	-	1
	1,146	92

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone financial statements

9) Other equity

Other equity consist of the following:

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Capital reserve*	-	-
Capital redemption reserve		
Opening balance	21	21
Change during the year	-	-
	21	21
Special Economic Zone re-investment reserve		
Opening balance	1,085	16,234
Transfer to retained earnings	(1,085)	(15,149)
	-	1,085
Retained earnings		
Opening balance	73,380	55,173
Profit for the year	49,096	48,057
Remeasurement of defined employee benefit plans	205	(135)
Transfer from Special Economic Zone re-investment reserve	1,085	15,149
	1,23,766	118,244
Less: Appropriations		
Dividend on equity shares	39,437	44,864
	84,329	73,380
Investment revaluation reserve		
Opening balance	784	339
Change during the year (net)	(798)	445
	(14)	784
Cash flow hedging reserve (Refer note 6(I))		
Opening balance	(15)	(9)
Change during the year (net)	(7)	(6)
	(22)	(15)
	84,314	75,255

*Represents value less than ₹0.50 crore.

10) Revenue recognition

The Company earns revenue primarily from providing IT services, consulting and business solutions. The Company offers a consulting-led, cognitive powered, integrated portfolio of IT, business and engineering services and solutions.

Revenue is recognised upon transfer of control of promised products or services to customers in an amount that reflects the consideration which the Company expects to receive in exchange for those products or services.

- Revenue from time and material and job contracts is recognised on output basis measured by units delivered, efforts expended, number of transactions processed, etc.
- Revenue related to fixed price maintenance and support services contracts where the Company is standing ready to provide services is recognised based on time elapsed mode and revenue is straight-lined over the period of performance.
- In respect of other fixed-price contracts, revenue is recognised using percentage-of-completion method ('POC method') of accounting with contract costs incurred determining the degree of completion of the performance obligation. The contract costs used in computing the revenues include cost of fulfilling warranty obligations.
- Revenue from the sale of distinct internally developed software and manufactured systems and third party software is recognised upfront at the point in time when the system / software is delivered to the customer. In cases where implementation and / or customisation services rendered significantly modifies or customises the software, these services and software are accounted for as a single performance obligation and revenue is recognised over time on a POC method.
- Revenue from the sale of distinct third party hardware is recognised at the point in time when control is transferred to the customer.

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Notes forming part of standalone financial statements

- The solutions offered by the Company may include supply of third-party equipment or software. In such cases, revenue for supply of such third party products are recorded at gross or net basis depending on whether the Company is acting as the principal or as an agent of the customer. The Company recognises revenue in the gross amount of consideration when it is acting as a principal and at net amount of consideration when it is acting as an agent.

Revenue is measured based on the transaction price, which is the consideration, adjusted for volume discounts, service level credits, performance bonuses, price concessions and incentives, if any, as specified in the contract with the customer. Revenue also excludes taxes collected from customers.

The Company's contracts with customers could include promises to transfer multiple products and services to a customer. The Company assesses the products / services promised in a contract and identifies distinct performance obligations in the contract. Identification of distinct performance obligation involves judgement to determine the deliverables and the ability of the customer to benefit independently from such deliverables.

Judgement is also required to determine the transaction price for the contract and to ascribe the transaction price to each distinct performance obligation. The transaction price could be either a fixed amount of customer consideration or variable consideration with elements such as volume discounts, service level credits, performance bonuses, price concessions and incentives. The transaction price is also adjusted for the effects of the time value of money if the contract includes a significant financing component. Any consideration payable to the customer is adjusted to the transaction price, unless it is a payment for a distinct product or service from the customer. The estimated amount of variable consideration is adjusted in the transaction price only to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur and is reassessed at the end of each reporting period. The Company allocates the elements of variable considerations to all the performance obligations of the contract unless there is observable evidence that they pertain to one or more distinct performance obligations.

The Company exercises judgement in determining whether the performance obligation is satisfied at a point in time or over a period of time. The Company considers indicators such as how customer consumes benefits as services are rendered or who controls the asset as it is being created or existence of enforceable right to payment for performance to date and alternate use of such product or service, transfer of significant risks and rewards to the customer, acceptance of delivery by the customer, etc.

Revenue from subsidiaries is recognised based on transaction price which is at arm's length.

Contract fulfilment costs are generally expensed as incurred except for certain software licence costs which meet the criteria for capitalisation. Such costs are amortised over the contractual period or useful life of licence, whichever is less. The assessment of this criteria requires the application of judgement, in particular when considering if costs generate or enhance resources to be used to satisfy future performance obligations and whether costs are expected to be recovered.

Contract assets are recognised when there are excess of revenues earned over billings on contracts. Contract assets are classified as unbilled receivables (only act of invoicing is pending) when there is unconditional right to receive cash, and only passage of time is required, as per contractual terms.

Unearned and deferred revenue ("contract liability") is recognised when there are billings in excess of revenues.

The billing schedules agreed with customers include periodic performance based payments and / or milestone based progress payments. Invoices are payable within contractually agreed credit period.

In accordance with Ind AS 37, the Company recognises an onerous contract provision when the unavoidable costs of meeting the obligations under a contract exceed the economic benefits to be received.

Contracts are subject to modification to account for changes in contract specification and requirements. The Company reviews modification to contract in conjunction with the original contract, basis which the transaction price could be allocated to a new performance obligation, or transaction price of an existing obligation could undergo a change. In the event transaction price is revised for existing obligation, a cumulative adjustment is accounted for.

The Company disaggregates revenue from contracts with customers by nature of services, industry verticals and geography.

Revenue disaggregation by nature of services is as follows:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Consultancy services	2,17,476	2,12,130
Sale of equipment and software licences	3,462	2,723
	2,20,938	2,14,853

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone financial statements

Revenue disaggregation by industry vertical is as follows:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Banking, Financial Services and Insurance	81,157	74,290
Manufacturing	20,873	20,077
Consumer Business	36,589	35,145
Communication, Media and Technology	34,484	41,641
Life Sciences and Healthcare	24,744	23,848
Others	23,091	19,852
	2,20,938	2,14,853

Revenue disaggregation by geography is as follows:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Americas (1)	121,267	115,880
Europe (2)	64,648	59,339
India	15,101	21,471
Others	19,922	18,163
	2,20,938	2,14,853

Geographical revenue is allocated based on the location of the customers.

(1) includes revenue in the United States of America of ₹1,16,393 crore and ₹1,11,607 crore for the years ended March 31, 2026 and 2025, respectively.

(2) includes revenue in the United Kingdom of ₹40,613 crore and ₹38,104 crore for the years ended March 31, 2026 and 2025, respectively.

Information about major customers

No single customer represents 10% or more of the Company's total revenue during the years ended March 31, 2026 and 2025.

While disclosing the aggregate amount of transaction price yet to be recognised as revenue towards unsatisfied (or partially satisfied) performance obligations, along with the broad time band for the expected time to recognise those revenues, the Company has applied the practical expedient in Ind AS 115. Accordingly, the Company has not disclosed the aggregate transaction price allocated to unsatisfied (or partially satisfied) performance obligations which pertain to contracts where revenue recognised corresponds to the value transferred to customer typically involving time and material, outcome based and event based contracts.

Unsatisfied (or partially satisfied) performance obligations are subject to variability due to several factors such as terminations, changes in scope of contracts, periodic revalidations of the estimates, economic factors (changes in currency rates, tax laws etc). The aggregate value of transaction price allocated to unsatisfied (or partially satisfied) performance obligations is ₹1,87,739 crore out of which 44.08% is expected to be recognised as revenue in the next year and the balance thereafter. No consideration from contracts with customers is excluded from the amount mentioned above.

Changes in contract assets are as follows:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	5,522	5,204
Invoices raised that were included in the contract assets balance at the beginning of the year	(4,112)	(3,834)
Increase due to revenue recognised during the year, excluding amounts billed during the year	4,684	4,046
Translation exchange difference	467	106
Balance at the end of the year	6,561	5,522

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Changes in unearned and deferred revenue are as follows:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	3,866	3,037
Revenue recognised that was included in the contract liability balance at the beginning of the year	(3,603)	(2,779)
Increase due to invoicing during the year, excluding amounts recognised as revenue during the year	3,848	3,593
Translation exchange difference	157	15
Balance at the end of the year	4,268	3,866

Reconciliation of revenue recognised with the contracted price is as follows:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Contracted price	2,25,162	2,18,138
Reductions towards variable consideration components	(4,224)	(3,285)
Revenue recognised	2,20,938	2,14,853

The reduction towards variable consideration comprises of volume discounts, service level credits, etc.

11) Other income

Dividend income is recorded when the right to receive payment is established. Interest income is recognised using the effective interest method.

Other income consist of the following:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Interest income	3,446	2,865
Dividend from subsidiaries	6,220	6,132
Net gain on disposal / fair valuation of investments carried at fair value through profit or loss	263	215
Net gain on sale of investments other than equity shares carried at fair value through OCI	196	10
Net gain on disposal of property, plant and equipment	27	20
Net gain on lease modification	97	10
Net gain on sub-lease	3	-
Net foreign exchange gain / (loss)	(522)	314
Rent income	33	23
Awards from litigation	191	-
Net gain on fair valuation of call option	17	-
Other income	65	53
	10,036	9,642

Interest income comprise:		
Interest on bank balances and bank deposits	350	496
Interest on financial assets carried at amortised cost	189	192
Interest on financial assets carried at fair value through OCI	2,058	2,114
Other interest (including interest on tax refunds)	849	63

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Notes forming part of standalone financial statements

12) Employee benefits

Defined benefit plans

For defined benefit plans, the cost of providing benefits is determined using the Projected Unit Credit Method, with actuarial valuations being carried out at each balance sheet date. Remeasurement, comprising actuarial gains and losses, the effect of the changes to the asset ceiling and the return on plan assets (excluding interest), is reflected immediately in the balance sheet with a charge or credit recognised in other comprehensive income in the period in which they occur. Past service cost, both vested and unvested, is recognised as an expense at the earlier of (a) when the plan amendment or curtailment occurs; and (b) when the entity recognises related restructuring costs or termination benefits.

The retirement benefit obligations recognised in the balance sheet represents the present value of the defined benefit obligations reduced by the fair value of scheme assets. Any asset resulting from this calculation is limited to the present value of available refunds and reductions in future contributions to the scheme.

The Company provides benefits such as gratuity, pension and provident fund (Company managed fund) to its employees which are treated as defined benefit plans.

Defined contribution plans

Contributions to defined contribution plans are recognised as expense when employees have rendered services entitling them to such benefits.

The Company provides benefits such as superannuation and foreign defined contribution plans to its employees which are treated as defined contribution plans.

Short-term employee benefits

All employee benefits payable wholly within twelve months of rendering the service are classified as short-term employee benefits. Benefits such as salaries, wages etc. and the expected cost of ex-gratia are recognised in the period in which the employee renders the related service. A liability is recognised for the amount expected to be paid when there is a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Compensated absences

Compensated absences which are expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as undiscounted liability at the balance sheet date. Compensated absences which are not expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as an actuarially determined liability at the present value of the defined benefit obligations at the balance sheet date using the Projected Unit Credit Method.

Termination benefits

Termination benefits are expensed at the earlier of when the Company is obligated to pay those benefits and when the Company recognises costs for a restructuring.

Employee benefit expenses consist of the following:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Salaries, incentives and allowances	100,728	96,537
Contributions to provident and other funds	8,065	7,646
Staff welfare expenses	3,349	3,117
	112,142	107,300

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Employee benefit obligations consist of the following:

Employee benefit obligations – Non-current

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Foreign defined benefit plans	45	34
Other employee benefit obligations	155	152
	200	186

Employee benefit obligations – Current

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Compensated absences	4,098	3,581
Other employee benefit obligations	46	40
	4,144	3,621

Employee benefit plans consist of the following:

Gratuity and pension

In accordance with Indian law, the Company operate a scheme of gratuity which is a defined benefit plan. The gratuity plan provides for a lump sum payment to vested employees at retirement, death while in employment or on termination of employment in accordance with the provisions under the Code on Social Security, 2020 or as per the Company Scheme, as applicable. Vesting occurs upon completion of contractual period of continuous years of service as defined in the Code on Social Security, 2020. The Company manages the plan through a trust. Trustees administer contributions made to the trust. Certain overseas branches of the Company also provide for retirement benefit pension plans in accordance with the local laws.

The following table sets out the details of the defined benefit retirement plans and the amounts recognised in the financial statements:

	(₹ crore)							
	Year ended March 31, 2026				Year ended March 31, 2025			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Change in benefit obligations								
Benefit obligations, beginning of the year	6,153	1	34	6,188	5,273	1	29	5,303
Translation exchange difference	-	-	4	4	-	-	1	1
Changes due to inter-company transfers	3	-	-	3	-	-	-	-
Service cost	634	-	6	640	532	-	4	536
Interest cost	437	-	3	440	392	-	2	394
Remeasurement of the defined benefit obligations	(466)	-	6	(460)	318	-	3	321
Past service cost	1,707	-	-	1,707	-	-	-	-
Benefits paid	(645)	-	(8)	(653)	(362)	-	(5)	(367)
Benefit obligations, end of the year	7,823	1	45	7,869	6,153	1	34	6,188

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(₹ crore)

	Year ended March 31, 2026				Year ended March 31, 2025			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Change in plan assets								
Fair value of plan assets, beginning of the year	7,881	1	-	7,882	7,214	1	-	7,215
Changes due to inter-company transfers	3	-	-	3	-	-	-	-
Interest income	519	-	-	519	527	-	-	527
Employers' contributions	463	-	-	463	361	-	-	361
Benefits paid	(645)	-	-	(645)	(362)	-	-	(362)
Remeasurement - return on plan assets excluding amount included in interest income	(186)	-	-	(186)	141	-	-	141
Fair value of plan assets, end of the year	8,035	1	-	8,036	7,881	1	-	7,882

(₹ crore)

	As at March 31, 2026				As at March 31, 2025			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Funded status								
Deficit of plan assets over obligations	-	-	(45)	(45)	-	-	(34)	(34)
Surplus of plan assets over obligations	212	-	-	212	1,728	-	-	1,728
	212	-	(45)	167	1,728	-	(34)	1,694

(₹ crore)

	As at March 31, 2026				As at March 31, 2025			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Category of assets								
Corporate bonds	2,159	-	-	2,159	2,023	-	-	2,023
Equity instruments	335	-	-	335	267	-	-	267
Government bonds and securities	3,372	-	-	3,372	3,559	-	-	3,559
Insurer managed funds	2,015	1	-	2,016	1,871	1	-	1,872
Bank balances	10	-	-	10	4	-	-	4
Others	144	-	-	144	157	-	-	157
	8,035	1	-	8,036	7,881	1	-	7,882

Net periodic gratuity cost, included in employee cost consists of the following components:

(₹ crore)

	Year ended March 31, 2026				Year ended March 31, 2025			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Service cost	634	-	6	640	532	-	4	536
Net interest on defined benefit (assets) / obligations	(82)	-	3	(79)	(135)	-	2	(133)
Past service cost	1,707	-	-	1,707	-	-	-	-
Net periodic gratuity cost	2,259	-	9	2,268	397	-	6	403
Actual return on plan assets	333	-	-	333	668	-	-	668

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Remeasurement of the net defined benefit (assets) / obligations:

	(₹ crore)			
	Year ended March 31, 2026			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Actuarial (gains) / losses arising from changes in demographic assumptions	(29)	-	-	(29)
Actuarial (gains) / losses arising from changes in financial assumptions	(367)	-	-	(367)
Actuarial (gains) / losses arising from changes in experience adjustments	(70)	-	6	(64)
Remeasurement of the defined benefit obligations	(466)	-	6	(460)
Remeasurement - return on plan assets excluding amount included in interest income	186	-	-	186
	(280)	-	6	(274)

	(₹ crore)			
	Year ended March 31, 2025			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Actuarial (gains) / losses arising from changes in demographic assumptions	12	-	-	12
Actuarial (gains) / losses arising from changes in financial assumptions	221	-	-	221
Actuarial (gains) / losses arising from changes in experience adjustments	85	-	3	88
Remeasurement of the defined benefit obligations	318	-	3	321
Remeasurement - return on plan assets excluding amount included in interest income	(141)	-	-	(141)
	177	-	3	180

The significant assumptions used in accounting for the defined benefit plan are set out below:

	As at March 31, 2026		As at March 31, 2025	
	Domestic plans	Foreign plans	Domestic plans	Foreign plans
Discount rate	7.25%	3.85%-4.30%	6.50%	3.30%-4.50%
Rate of increase in compensation levels of covered employees	6.00%	2.60%-3.29%	6.00%	2.56%-3.87%
Rate of return on plan assets	7.25%	3.85%-4.30%	6.50%	3.30%-4.50%
Weighted average duration of defined benefit obligations	6 Years	3-5 Years	6 Years	3-6 Years

Future mortality assumptions are taken based on the published statistics by the Insurance Regulatory and Development Authority of India.

The expected benefits are based on the same assumptions as are used to measure the Company's defined benefit plan obligations as at March 31, 2026. The Company does not expect to contribute to defined benefit plan obligations funds for year ending March 31, 2027 in view of adequate surplus plan assets as at March 31, 2026.

The significant actuarial assumptions for the determination of the defined benefit obligations are discount rate and expected salary increase. The sensitivity analysis below have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

If the discount rate increases / decreases by 0.50%, the defined benefit obligations would increase / (decrease) as follows:

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Increase of 0.50%	(207)	(155)
Decrease of 0.50%	219	163

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone financial statements

If the expected salary growth increases / decreases by 0.50%, the defined benefit obligations would increase / (decrease) as follows:

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Increase of 0.50%	204	163
Decrease of 0.50%	(197)	(156)

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligations as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligations has been calculated using the Projected Unit Credit Method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligations recognised in the balance sheet.

Each year an Asset - Liability matching study is performed in which the consequences of the strategic investment policies are analysed in terms of risk and return profiles. Investment and contribution policies are integrated within this study.

The defined benefit obligations shall mature after the year ended March 31, 2026 as follows:

	(₹ crore)
Year ending March 31,	Defined benefit obligations
2027	1,073
2028	957
2029	922
2030	874
2031	818
2032-2036	3,401

Provident fund

In accordance with Indian law, all eligible employees of the Company in India are entitled to receive benefits under the provident fund plan in which both the employee and employer (at a determined rate) contribute monthly to a trust set up by the Company to manage the investments and distribute the amounts entitled to employees. This plan is a defined benefit plan as the Company is obligated to provide its members a rate of return which should, at the minimum, meet the interest rate declared by Government administered provident fund. A part of the Company's contribution is transferred to the Government administered pension fund. The contributions made by the Company and the shortfall of interest, if any, are recognised as an expense in statement of profit and loss under employee benefit expenses. As per the latest actuarial valuation report of provident fund liabilities on the basis of guidance issued by Actuarial Society of India and based on the assumptions as mentioned below, there is no deficiency in the interest cost as the present value of the expected future earnings of the fund is greater than the expected amount to be credited to the individual members based on the expected guaranteed rate of interest of Government administered provident fund.

The following table sets out the details of the defined benefit provident fund plan and the amounts recognised in the financial statements:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Change in benefit obligations		
Benefit obligations, beginning of the year	32,977	29,170
Employee contribution	2,556	2,614
Service cost	941	967
Interest cost	2,677	2,387
Obligations transferred in	696	653
Benefits paid	(4,393)	(2,814)
Benefit obligations, end of the year	35,454	32,977

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	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Change in plan assets		
Plan assets, beginning of the year	33,017	29,326
Interest income	2,677	2,387
Contributions	3,497	3,581
Assets transferred in	696	653
Benefits paid	(4,393)	(2,814)
Remeasurement - return on plan assets excluding amount included in interest income	(1)	(116)
Plan assets, end of the year	35,493	33,017

Net periodic provident fund cost, included in the employee cost consists of the following components:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Service cost	941	967
Net periodic provident fund cost	941	967

The plan asset investment is as per pattern specified by Employee's Provident Fund Organisation with more than 90% of the assets invested in Government bonds and debt instruments.

The assumptions used in determining the present value obligations of interest guarantee under the deterministic approach are as follows:

	As at March 31, 2026	As at March 31, 2025
Discount rate	7.25%	6.50%
Average remaining tenure of investment portfolio	6 Years	6 Years
Guaranteed rate of return	8.25%	8.25%

The Company expensed ₹1,674 crore and ₹1,676 crore for the years ended March 31, 2026 and 2025, respectively, towards provident fund.

Superannuation

All eligible employees on Indian payroll are entitled to benefits under Superannuation, a defined contribution plan. The Company makes monthly contributions until retirement or resignation of the employee. The Company recognises such contributions as an expense when incurred. The Company has no further obligation beyond its monthly contribution.

The Company expensed ₹270 crore and ₹291 crore for the years ended March 31, 2026 and 2025, respectively, towards Employees' Superannuation Fund.

Foreign defined contribution plan

The Company expensed ₹1,589 crore and ₹1,458 crore for the years ended March 31, 2026 and 2025, respectively, towards foreign defined contribution plans.

13) Cost recognition

Costs and expenses are recognised when incurred and have been classified according to their nature.

The costs of the Company are broadly categorised in employee benefit expenses, cost of equipment and software licences, depreciation and amortisation expense and other expenses. Other expenses mainly include fees to external consultants, facility expenses, travel expenses, communication expenses, bad debts and advances written off, allowance for expected credit losses and doubtful advances (net) and other expenses. Other expenses are aggregation of costs which are individually not material such as commission and brokerage, recruitment and training, entertainment, etc.

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(a) Cost of equipment and software licences

Cost of equipment and software licences consist of the following:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Raw materials, sub-assemblies and components consumed	41	49
Equipment and software licences purchased	3,437	11,324
	3,478	11,373
Finished goods and work-in-progress		
Opening stock	1	-*
Less: Closing stock	3	1
	(2)	(1)
	3,476	11,372

*Represents value less than ₹0.50 crore.

(b) Other expenses

Other expenses consist of the following:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Fees to external consultants	22,306	19,617
Facility expenses	2,966	2,793
Travel expenses	2,581	2,581
Communication expenses	1,840	1,589
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	179	78
Other expenses	13,199	11,594
	43,071	38,252

Other expenses include ₹5,613 crore and ₹4,722 crore for the years ended March 31, 2026 and 2025, respectively, towards sales, marketing and advertisement expenses and ₹3,700 crore and ₹3,089 crore for the years ended March 31, 2026 and 2025, respectively, towards project expenses.

The Company made a contribution to an electoral trust of NIL and ₹218 crore for the years ended March 31, 2026 and 2025, respectively, which is included in other expenses.

(c) Corporate Social Responsibility (CSR) expenditure

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
1 Amount required to be spent by the company during the year	1,013	954
2 Amount approved by the Board	1,037	962
3 Amount of expenditure incurred on:		
(i) Construction/acquisition of any asset	-	-
(ii) On purposes other than (i) above	1,017	960
4 Shortfall at the end of the year	-	-
5 Total of previous years shortfall	-	-
6 Reason for shortfall	Not Applicable	Not Applicable
7 Nature of CSR activities	Education, Research, Health care, Conservation and empowerment programs	
8 Details of related party transactions in relation to CSR expenditure as per relevant Accounting Standard:		
Contribution to TCS Foundation in relation to CSR expenditure	550	650

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14) Finance costs

Finance costs consist of the following:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Interest on lease liabilities	683	556
Interest on tax matters	6	-
Other interest costs	435	147
	1,124	703

15) Income taxes

Income tax expense comprises current tax expense and the net change in the deferred tax asset or liability during the year. Current and deferred taxes are recognised in statement of profit and loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity, respectively.

Current income taxes

The current income tax expense includes income taxes payable by the Company in India and in its branches in overseas where it operates.

The Company has recognised income tax expenses applying the provisions under section 115BAA of the Income-tax Act, 1961.

Current income tax payable by overseas branches of the Company is computed in accordance with the tax laws applicable in the jurisdiction in which the respective branch operates. The taxes paid are generally available for set off against the Indian income tax liability of the Company's worldwide income.

Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Advance taxes and provisions for current income taxes are presented in the balance sheet after off-setting advance tax paid and income tax provision arising in the same tax jurisdiction and where the relevant tax paying unit intends to settle the asset and liability on a net basis.

The Organisation for Economic Co-operation and Development (OECD) has published the model rules for global minimum tax (Pillar Two model rules). As per the provisions of Pillar Two legislation, the Company's ultimate parent entity (UPE) has consolidated revenues exceeding the threshold prescribed under the OECD framework. Pillar Two legislation has been enacted, or substantively enacted, in certain jurisdictions where the Company operates. Based on the current assessment, the Company does not expect a material financial impact from the application of the Pillar Two rules. The evaluation of the potential exposure is based on the most recent country-by-country reporting, and financial statements for the constituent entities in the Company. In accordance with Amendments to Ind AS 12, the Company has applied temporary mandatory relief from accounting for deferred tax that arises from implementing Pillar Two legislation.

Deferred income taxes

Deferred income tax is recognised using the balance sheet approach. Deferred income tax assets and liabilities are recognised for deductible and taxable temporary differences arising between the tax base of assets and liabilities and their carrying amount, except when the deferred income tax arises from the initial recognition of an asset or liability in a transaction that is not a business combination, affects neither accounting nor taxable profit or loss at the time of the transaction.

Deferred income tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax credits and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred tax assets and liabilities are measured using substantively enacted tax rates expected to apply to taxable income in the years in which the temporary differences are expected to be received or settled.

Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the relevant entity intends to settle its current tax assets and liabilities on a net basis.

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The income tax expense consists of the following:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Current tax		
Current tax expense for current year	16,124	15,981
Current tax benefit pertaining to prior years	(1,946)	(1,158)
	14,178	14,823
Deferred tax		
Deferred tax benefit for current year	(468)	(232)
	(468)	(232)
	13,710	14,591

The reconciliation of estimated income tax expense at Indian statutory income tax rate to income tax expense reported in standalone statement of profit and loss is as follows:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Profit before taxes	62,806	62,648
Indian statutory income tax rate	25.17%	25.17%
Expected income tax expense	15,807	15,767
Tax effect of adjustments to reconcile expected income tax expense to reported income tax expense		
Income exempt from tax	(1,566)	(1,543)
Undistributed earnings in branches	67	66
Tax on income at different rates	1,164	1,264
Tax pertaining to prior years	(1,946)	(1,158)
Others (net)	184	195
Total income tax expense	13,710	14,591

Significant components of net deferred tax assets and liabilities for year ended March 31, 2026 are as follows:

	(₹ crore)			
	Opening balance	Recognised in profit and loss	Recognised in / reclassified from other comprehensive income	Closing balance
Deferred tax assets / (liabilities) in relation to				
Property, plant and equipment and intangible assets	989	278	-	1,267
Provision for employee benefit obligations	939	153	-	1,092
Cash flow hedges	6	-	2	8
Receivables, financial assets at amortised cost	419	28	-	447
Branch profit tax	(166)	(67)	-	(233)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(267)	-	268	1
Lease liabilities and right-of-use assets	210	(4)	-	206
Others	326	80	-	406
	2,456	468	270	3,194

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone financial statements

Gross deferred tax assets and liabilities are as follows:

As at March 31, 2026	(₹ crore)		
	Assets	Liabilities	Net
Deferred tax assets / (liabilities) in relation to			
Property, plant and equipment and Intangible assets	1,291	24	1,267
Provision for employee benefit obligations	1,092	-	1,092
Cash flow hedges	8	-	8
Receivables, financial assets at amortised cost	447	-	447
Branch profit tax	-	233	(233)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	1	-	1
Lease liabilities	2,020	-	2,020
Right-of-use assets	(1,814)	-	(1,814)
Others	407	1	406
	3,452	258	3,194

Significant components of net deferred tax assets and liabilities for the year ended March 31, 2025 are as follows:

	(₹ crore)			
	Opening balance	Recognised in profit and loss	Recognised in / reclassified from other comprehensive income	Closing balance
Deferred tax assets / (liabilities) in relation to				
Property, plant and equipment and intangible assets	661	328	-	989
Provision for employee benefit obligations	872	67	-	939
Cash flow hedges	4	-	2	6
Receivables, financial assets at amortised cost	395	24	-	419
Branch profit tax	(100)	(66)	-	(166)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(119)	-	(148)	(267)
Lease liabilities and right-of-use assets	199	11	-	210
Others	458	(132)	-	326
	2,370	232	(146)	2,456

Gross deferred tax assets and liabilities are as follows:

As at March 31, 2025	(₹ crore)		
	Assets	Liabilities	Net
Deferred tax assets / (liabilities) in relation to			
Property, plant and equipment and Intangible assets	1,025	36	989
Provision for employee benefit obligations	939	-	939
Cash flow hedges	6	-	6
Receivables, financial assets at amortised cost	419	-	419
Branch profit tax	-	166	(166)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(267)	-	(267)
Lease liabilities	1,558	-	1,558
Right-of-use assets	(1,348)	-	(1,348)
Others	326	-	326
	2,658	202	2,456

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Direct tax contingencies

The Company has ongoing disputes with income tax authorities in India and in some of the other jurisdictions where it operates. The disputes relate to tax treatment of certain expenses claimed as deduction, computation or eligibility of tax incentives and allowances and characterisation of fees for services received. Contingent liability in respect of tax demands received from direct tax authorities in India and other jurisdictions is ₹506 crore and ₹1,012 crore as at March 31, 2026 and 2025, respectively. These demand orders are being contested by the Company based on the management evaluation and advice of tax consultants. In respect of tax contingencies of ₹318 crore and ₹318 crore as at March 31, 2026 and 2025, respectively, not included above, the Company is entitled to an indemnification from the seller of TCS e-Serve Limited.

The Company periodically receives notices and inquiries from income tax authorities related to the Company's operations in the jurisdictions it operates in. The Company has evaluated these notices and inquiries and has concluded that any consequent income tax claims or demands by the income tax authorities will not succeed on ultimate resolution.

The number of years that are subject to tax assessments varies depending on tax jurisdiction. The major tax jurisdictions of Tata Consultancy Services Limited include India, United States of America and United Kingdom. In India, tax filings from fiscal 2023 are generally subject to examination by the tax authorities. In United States of America, the federal statute of limitation applies to fiscals 2021 and earlier and applicable state statutes of limitation vary by state. In United Kingdom, the statute of limitation generally applies to fiscal 2020 and earlier.

16) Earnings per share

Basic earnings per share is computed by dividing profit or loss attributable to equity shareholders of the Company by the weighted average number of equity shares outstanding during the period. The Company did not have any potentially dilutive securities in any of the periods presented.

	Year ended March 31, 2026	Year ended March 31, 2025
Profit for the year (₹ crore)	49,096	48,057
Weighted average number of equity shares	361,80,87,518	361,80,87,518
Basic and diluted earnings per share (₹)	135.70	132.83
Face value per equity share (₹)	1	1

17) Auditor's remuneration

Auditor's remuneration consists of the following:

	Year ended March 31, 2026	Year ended March 31, 2025
	(₹ crore)	
Auditor	12	12
For taxation matters	1	1
For other services	5	4
For reimbursement of expenses	1	1

18) Segment information

The Company publishes the standalone financial statements of the Company along with the consolidated financial statements. In accordance with Ind AS 108 - Operating Segments, the Company has disclosed the segment information in the consolidated financial statements.

19) Commitments and contingencies

Capital commitments

The Company has contractually committed (net of advances) ₹2,532 crore and ₹2,438 crore as at March 31, 2026 and 2025, respectively, for purchase of property, plant and equipment.

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Contingencies

- **Direct tax matters**

Refer note 15.

- **Indirect tax matters**

The Company has ongoing disputes with tax authorities mainly relating to treatment of characterisation and classification of certain items. The Company has demands amounting to ₹646 crore and ₹626 crore as at March 31, 2026 and 2025, respectively, from various indirect tax authorities which are being contested by the Company based on the management evaluation and advice of tax consultants.

- **Other claims**

- Claims aggregating ₹119 crore and ₹120 crore as at March 31, 2026 and 2025, respectively, against the Company have not been acknowledged as debts.
- In April 2019, Computer Sciences Corporation (referred to as CSC) filed a legal claim against the Company in the Court of Northern District of Texas and Dallas Division (trial court) alleging misappropriation of trade secrets and other CSC's confidential information and sought preliminary and permanent injunctive relief, and unspecified monetary damages and disgorgement of profits.

A trial before an advisory jury was held and on November 17, 2023, the jury returned an advisory verdict in favour of CSC, finding that the Company misappropriated CSC's trade secrets and recommended compensation of US \$70 million (equivalent to ₹662 crore) and a further punitive damage of US \$140 million (equivalent to ₹1,324 crore) to be paid by the Company to CSC. Subsequently, the parties filed their respective written submissions in the matter. On June 13, 2024, the trial court passed a judgement as follows:

1. The Court ordered that the Company is liable to CSC for US \$56 million (equivalent to ₹531 crore) in compensatory damages and US \$112 million (equivalent to ₹1,062 crore) in exemplary damages.
2. The Court also assessed that the Company is liable for US \$26 million (equivalent to ₹244 crore) in prejudgment interest through June 13, 2024.
3. The Court also passed certain injunction and other reliefs against the Company.

Pursuant to US Court procedures, a Letter of Credit has been made available to CSC for US \$250 million (equivalent to ₹2,365 crore) as financial security in order to stay execution of the judgement pending appeal proceedings and conclusion.

On November 21, 2025, the Fifth Circuit issued a decision affirming the District Court's rulings on liability but vacating the previously granted injunction and remanding to the district court to re-enter a narrower injunction. The Company filed a petition for rehearing en banc and a petition for panel rehearing in the appellate court on December 5, 2025, which was denied on December 19, 2025.

On March 19, 2026, a petition for a writ of certiorari from the US Supreme Court was filed, seeking a review of the case and the Supreme Court's decision is awaited.

The Company, based on consultation with the external lawyers and legal assessment, believes that it has a strong case and would defend its position vigorously and pursue legal remedies to overturn the decision of the Fifth Circuit.

Considering all the facts and various legal precedence, on a conservative and prudent basis, the Company provided US \$112 million (₹1,010 crore) towards this legal claim in the standalone statement of profit and loss for the year ended March 31, 2026 as "Provision towards legal claim" under "Exceptional items". In addition, the Company has also provided US \$38 million (₹342 crore) towards pre and post judgement interest until expected date of settlement of this liability and disclosed it under "Other interest costs".

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- **Guarantees and letter of comfort**

The Company has given letter of comfort to banks for credit facilities availed by its subsidiaries. As per the terms of letter of comfort, the Company undertakes not to divest its ownership interest directly or indirectly in the subsidiary and provide such managerial, technical and financial assistance to ensure continued successful operations of the subsidiary.

The Company has provided guarantees to third parties on behalf of its subsidiaries. The Company does not expect any outflow of resources in respect of the above.

The amounts assessed as contingent liability do not include interest that could be claimed by counter parties.

20) Related party transactions

The Company's principal related parties consist of its holding company Tata Sons Private Limited and its subsidiaries, its own subsidiaries, affiliates and key managerial personnel. The Company's material related party transactions and outstanding balances are with related parties with whom the Company routinely enters into transactions in the ordinary course of business.

List of subsidiaries of the Company as at March 31, 2026 is as follows:

Indian

APTOnline Limited

C-Edge Technologies Limited

MP Online Limited

TCS e-Serve International Limited

MahaOnline Limited

TCS Foundation

TRIL Bengaluru Real Estate Five Limited

TRIL Bengaluru Real Estate Six Limited

HyperVault AI Data Center Limited

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Foreign

Tata America International Corporation
Tata Consultancy Services Canada Inc.
ListEngage Midco, LLC
ListEngage, LLC
TCS North America Corporation
Coastal Cloud Holdings LLC
CC StructureCo, LLC
Coastal Cloud Intermediate, LLC
Coastal Cloud, LLC
Coastal Cloud Canada Corporation
Coastal Cloud NA LLC
Tata Consultancy Services Argentina S.A.
Tata Consultancy Services Chile S.A.
Tata Consultancy Services De Mexico, S.A. De C.V.
Tata Consultancy Services Do Brasil Ltda.
TCS Iberoamerica S.A.
TCS Inversiones Chile Limitada
Tatasolution Center S.A.
MGDC S.C.
TCS Uruguay S.A.
Tata Consultancy Services Guatemala, S.A.
3-101-951221 S.A.
Tata Consultancy Services Belgium
Tata Consultancy Services De Espana S.A.
Tata Consultancy Services Deutschland GmbH
Tata Consultancy Services Italia S.R.L.
Tata Consultancy Services Netherlands B.V.
Tata Consultancy Services Maroc SARL AU
Tata Consultancy Services Regional Headquarters
Tata Consultancy Services Sverige Aktiebolag
Tata Consultancy Services (Portugal), Unipessoal Lda
Diligenta Limited
Tata Consultancy Services Luxembourg S.A.
Tata Consultancy Services Switzerland Ltd
Tata Consultancy Services France
Tata Consultancy Services Saudi Arabia
Tata Consultancy Services UK Limited
TCS Business Services GmbH
Tata Consultancy Services Bulgaria EOOD
Tata Consultancy Services Ireland Limited
TCS Technology Solutions GmbH
Tata Consultancy Services Osterreich GmbH
Diligenta (Europe) B.V.
Tata Consultancy Services Asia Pacific Pte. Ltd.
Tata Consultancy Services Malaysia Sdn. Bhd.
TCS FNS Pty Limited
TCS Financial Solutions Australia Pty Ltd
Tata Consultancy Services Indonesia, PT
Tata Consultancy Services (China) Co., Ltd.
Tata Consultancy Services (Thailand) Limited
Tata Consultancy Services (Philippines) Inc.
Tata Consultancy Services Japan, Ltd.
Tata Consultancy Services BT Private Limited
Tata Consultancy Services (Africa) (Proprietary) Limited
Tata Consultancy Services (South Africa) (Proprietary) Limited
Tata Consultancy Services Qatar

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Transactions with related parties are as follows:

	Year ended March 31, 2026					(₹ crore)
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	78	31,189	1,354	4,887	-	37,508
Interest income	-	3	80	-	-	83
Dividend income	-	6,220	-	-	-	6,220
Rent income	-	40	-	-	-	40
Other income	-	38	-	-	-	38
Purchases of goods and services (including reimbursements)	2	19,654	831	231	-	20,718
Brand equity contribution	200	-	-	-	-	200
Facility expenses	1	69	31	72	-	173
Lease rental	-	-	52	61	-	113
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	-	-	-	2	-	2
Contribution and advance to post employment benefit plans	-	-	-	-	2,954	2,954
Procurement towards Property, plant and equipment	-	-	434	30	-	464
Loans and advances given	-	-	21	13	-	34
Loans and advances recovered	-	-	260	3	-	263
Advances taken	-	5	-	-	-	5
Dividend paid	28,291	-	11	3	-	28,305
Guarantees given	-	225	-	1	-	226
Inter-corporate deposits placed	-	11	1,500	-	-	1,511
Cost recovery	-	4,403	-	-	-	4,403
Sale of property, plant and equipment	-	1	-	-	-	1
Transfer out of employee benefit obligations	-	1	-	-	-	1
Transfer in of employee benefit obligations	-	5	-	-	-	5
Investment in subsidiaries (Refer note 6(a))	-	6,551	-	-	-	6,551
Inter-corporate deposits renewed	-	39	-	-	-	39

TATA CONSULTANCY SERVICES LIMITED
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(₹ crore)

	Year ended March 31, 2025					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	69	27,980	1,184	5,076	-	34,309
Interest income	-	-	19	-	-	19
Dividend income	-	6,132	-	-	-	6,132
Rent income	-	36	-	-	-	36
Other income	-	39	-	-	-	39
Purchases of goods and services (including reimbursements)	1	18,138	8,125	205	-	26,469
Brand equity contribution	200	-	-	-	-	200
Facility expenses	1	66	13	75	-	155
Lease rental	-	-	49	60	-	109
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	-	-	8	2	-	10
Contribution and advance to post employment benefit plans	-	-	-	-	4,173	4,173
Procurement towards Property, plant and equipment	-	-	501	19	-	520
Loans and advances given	-	-	577	31	-	608
Loans and advances recovered	-	-	50	5	-	55
Advances taken	-	47	-	-	-	47
Dividend paid	32,184	-	12	4	-	32,200
Guarantees given	-	-	-	2	-	2
Inter-corporate deposits placed	-	36	-	-	-	36
Purchase of investments	-	-	498	-	-	498
Cost recovery	-	4,204	-	-	-	4,204
Transfer out of employee benefit obligations	-	2	-	-	-	2
Transfer in of employee benefit obligations	-	2	-	-	-	2
Acquisition of subsidiaries (Refer note 6(a))	-	-	1,593	-	-	1,593

Balances receivable from related parties are as follows:

(₹ crore)

	As at March 31, 2026					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade receivables and contract assets	8	8,260	261	1,347	-	9,876
Investments, loans, other financial assets and other assets	2	392	3,639	44	-	4,077
	10	8,652	3,900	1,391	-	13,953

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone financial statements

(₹ crore)

	As at March 31, 2025					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade receivables and contract assets	17	8,221	247	1,461	-	9,946
Investments, loans, other financial assets and other assets	2	287	2,226	35	-	2,550
	19	8,508	2,473	1,496	-	12,496

Balances payable to related parties are as follows:

(₹ crore)

	As at March 31, 2026					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities	181	7,295	4,306	296	115	12,193
Commitments and guarantees	-	3,102	772	45	-	3,919

(₹ crore)

	As at March 31, 2025					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities	184	6,851	5,257	286	-	12,578
Commitments and guarantees	-	3,026	1,012	52	-	4,090

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone financial statements

Material related party transactions are as follows:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Revenue from operations		
Tata Consultancy Services Deutschland GmbH	4,139	3,636
Tata Consultancy Services Netherlands B.V.	4,088	3,875
Tata Consultancy Services Canada Inc.	4,346	3,733
Jaguar Land Rover Limited	3,565	3,659
Purchases of goods and services (including reimbursements) and net of cost recovery		
Tata America International Corporation	4,446	3,850
Tata Consultancy Services De Mexico, S.A. De C.V.	3,719	3,541
Tata Consultancy Services Canada Inc.	2,431	2,240
Tejas Networks Limited	26	7,508
Dividend income		
Tata America International Corporation	1,339	1,805
TCS Iberoamerica S.A.	669	836
Tata Consultancy Services Canada Inc.	1,126	1,242
Tata Consultancy Services Netherlands B.V.	966	699
Contribution and advance to post employment benefit plans		
Tata Consultancy Services Employees' Provident Fund	2,673	3,870
Inter-corporate deposits placed		
Tata Capital Limited	1,000	-
Investment in a subsidiary		
ListEngage Midco, LLC	6,344	-
Acquisition of subsidiaries		
Tata Realty and Infrastructure Limited	-	1,593

Material related party balances are as follows:

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Trade receivables and contract assets		
Tata America International Corporation	1,523	1,459
Tata Consultancy Services France	1,097	946
Jaguar Land Rover Limited	991	1,028
Investments, loans, other financial assets and other assets		
Tejas Networks Limited	1,335	1,460
Tata Capital Limited	1,534	498
Tata Capital Housing Finance Limited	527	-
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities		
Tata America International Corporation	1,962	1,780
Tata Consultancy Services Canada Inc.	1,566	1,478
Tejas Networks Limited	3,959	4,317
Tata Realty and Infrastructure Limited	3	557
Commitments and guarantees		
Tata Projects Limited	700	946
Diligenta Limited	3,102	3,026

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone financial statements

Transactions with key management personnel are as follows:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Short-term benefits	68	45
Dividend paid during the year	-	1
Post-employment benefits	-*	1
	68	47

*Represents value less than ₹0.50 crore.

The remuneration of directors and key executives is determined by the nomination and remuneration committee having regard to the performance of individuals and market trends.

- 21)** In July 2025, the Company announced re-structuring initiatives. As a part of this initiative, the Company released / will release certain associates from the organisation whose deployment may not be feasible. Termination benefits have been provided as per policy devised for this purpose. Such termination benefits, due to their size, nature or occurrence are disclosed as “Re-structuring expenses” under “Exceptional items” in the standalone financial statements.
- 22)** On November 21, 2025, the Government of India notified the four Labour Codes - the Code on Wages, 2019, the Industrial Relations Code, 2020, the Code on Social Security, 2020, and the Occupational Safety, Health and Working Conditions Code, 2020 - consolidating 29 existing labour laws. The Ministry of Labour & Employment published draft Central Rules and FAQs to enable assessment of the financial impact due to changes in regulations. The Company has considered restructured compensation of its employees with effect from April 1, 2026, and assessed the impact of the changes, consistent with the Labour Codes, draft rules, FAQs and legal opinion. Considering the materiality and regulatory-driven, non-recurring nature of this impact, the Company has presented such incremental impact as “Statutory impact of new Labour Codes” under “Exceptional Items” in the standalone statement of profit and loss for the year ended March 31, 2026. The Company continues to monitor the finalisation of Central / State Rules and clarifications from the Government on other aspects of the Labour Code and would provide appropriate accounting effect on the basis of such developments as needed.
- 23)** No funds have been advanced / loaned / invested (from borrowed funds or from share premium or from any other sources / kind of funds) by the Company to any other person(s) or entity(ies), including foreign entities (Intermediaries), with the understanding (whether recorded in writing or otherwise) that the Intermediary shall (i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company (Ultimate Beneficiaries) or (ii) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries, except as mentioned below:

Funds Advanced / Loaned / Invested by the Company in Intermediaries

Sr. No.	Funding Party 1	Intermediary 1	Relationship with TCS	Date of Transaction	Nature of Transaction	Amount
1	Tata Consultancy Services Limited	ListEngage Midco, LLC	Wholly owned direct subsidiary	January 13, 2026	Funding for onward investment	\$703 million (equivalent to ₹6,344 crore)

Funds further routed by Intermediaries

Sr. No.	Funding Party 2/ Intermediary 1	Intermediary 2	Relationship with TCS	Date of Transaction	Nature of Transaction	Amount
1	ListEngage Midco, LLC	TCS North America Corporation	Indirect subsidiary	January 13, 2026	Acquisition of ownership interest	\$93 million (equivalent to ₹835 crore)

Sr. No.	Funding Party 3/ Intermediary 2	Ultimate beneficiary	Relationship with TCS	Date of Transaction	Nature of Transaction	Amount
1	TCS North America Corporation	Erstwhile shareholders of Coastal Cloud Holdings, LLC	None	January 13, 2026	Acquisition of ownership interest	\$93 million (equivalent to ₹835 crore)
2	ListEngage Midco, LLC	Erstwhile shareholders of Coastal Cloud Holdings, LLC	None	January 13, 2026	Acquisition of ownership interest	\$606 million (equivalent to ₹5,467 crore)

Minor amount remaining from funds transferred by TCS held by ListEngage Midco, LLC for future use.

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone financial statements

The Company has provided corporate guarantee of \$25 million (equivalent to ₹226 crore) on behalf of ListEngage Midco, LLC (wholly owned subsidiary) in connection with acquisition of Coastal Cloud Holdings LLC along with its subsidiaries on December 10, 2025. The transactions mentioned above are not in violation of Prevention of Money-Laundering Act, 2002 and are in compliance of the provisions of Foreign Exchange Management Act, 1999 and Companies Act, 2013.

No funds have been received by the Company from any person(s) or entity(ies), including foreign entities (Funding Parties), with the understanding (whether recorded in writing or otherwise) that the Company shall (i) directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or (ii) provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

24) The sitting fees and commission paid to non-executive directors is ₹15 crore and ₹12 crore as at March 31, 2026 and 2025, respectively.

25) Additional Regulatory Information

• **Ratios**

Ratio	Numerator	Denominator	Current year	Previous year
Current ratio (in times)	Total current assets	Total current liabilities	2.0	2.1
Debt-Equity ratio (in times)	Debt consists of borrowings and lease liabilities.	Total equity	0.1	0.1
Debt service coverage ratio (in times)	Earning for Debt Service = Net Profit after taxes + Non-cash operating expenses + Interest + Other non-cash adjustments	Debt service = Interest and lease payments + Principal repayments	19.8	23.5
Return on equity ratio (in %)	Profit for the year less Preference dividend (if any)	Average total equity	61.3%	65.1%
Trade receivables turnover ratio (in times)	Revenue from operations	Average trade receivables	4.1	4.4
Trade payables turnover ratio (in times)	Cost of equipment and software licences + Other expenses	Average trade payables	2.6	3.1
Net capital turnover ratio (in times)	Revenue from operations	Average working capital (i.e. Total current assets less Total current liabilities)	4.0	4.1
Net profit ratio (in %)	Profit for the year	Revenue from operations	22.2%	22.4%
Return on capital employed (in %)	Profit before tax and finance costs	Capital employed = Net worth + Lease liabilities + Deferred tax liabilities	67.8%	76.0%
Return on investment (in %)	Income generated from invested funds	Average invested funds in treasury investments	8.7%	8.5%

TATA CONSULTANCY SERVICES LIMITED
Notes forming part of standalone financial statements

26) Dividends

Dividends paid during the year ended March 31, 2026 include an amount of ₹30.00 per equity share towards final dividend for the year ended March 31, 2025 and an amount of ₹79.00 per equity share towards interim dividends (including special dividend) for the year ended March 31, 2026. Dividends paid during the year ended March 31, 2025 include an amount of ₹28.00 per equity share towards final dividend for the year ended March 31, 2024 and an amount of ₹96.00 per equity share towards interim dividends (including special dividend) for the year ended March 31, 2025.

Dividends declared by the Company are based on the profit available for distribution. On April 9, 2026, the Board of Directors of the Company have proposed a final dividend of ₹31.00 per equity share in respect of the year ended March 31, 2026 subject to the approval of shareholders at the Annual General Meeting, and if approved, would result in cash outflow of approximately ₹11,216 crore.

As per our report of even date attached

For and on behalf of the Board

For **B S R & Co. LLP**

Chartered Accountants

Firm's registration no: 101248W/W-100022

K Krithivasan

CEO and Managing Director

DIN: 10106739

Aarthi Subramanian

Executive Director - President and COO

DIN: 07121802

Aniruddha Godbole

Partner

Membership No: 105149

Mumbai, April 9, 2026

Samir Seksaria

CFO

Mumbai, April 9, 2026

Yashaswin Sheth

Company Secretary

TATA CONSULTANCY SERVICES LIMITED

**Statement pursuant to first proviso to sub-section (3) of section 129 of the Companies Act 2013, read with rule 5 of Companies (Accounts) Rules, 2014
in the prescribed Form AOC-1 relating to subsidiary companies**

Sr. No.	Name of the Subsidiary Company	Date of becoming subsidiary	Start date of accounting period of subsidiary	End date of accounting period of subsidiary	Reporting Currency	Parent Currency	Exchange Rate	Share Capital	Reserves and Surplus	Total Assets	Total Liabilities	Investments	Turnover	Profit before Tax	Provision for Tax	Profit after Tax	Proposed Dividend	% of Shareholding	Country
								₹ crore											
1	Tata America International Corporation	August 9, 2004	April 1, 2025	March 31, 2026	USD	USD	94.606300	2	1,158	4,566	3,406	509	6,683	1,957	402	1,555	-	100%	U.S.A.
2	ListEngage, LLC	October 10, 2025	January 1, 2025	December 31, 2025	USD	USD	94.606300	-	-	80	80	-	117	(23)	-	(23)	-	100%	U.S.A.
3	ListEngage Midco, LLC	October 10, 2025	January 1, 2025	December 31, 2025	USD	USD	94.606300	6,653	(4)	6,733	84	6,692	-	(4)	-	(4)	-	100%	U.S.A.
4	TCS North America Corporation	December 15, 2025	January 1, 2025	December 31, 2025	USD	USD	94.606300	875	-	875	-	875	-	-	-	-	-	100%	U.S.A.
5	Trident LE LLC	December 15, 2025	January 1, 2025	December 31, 2025	USD	USD	94.606300	-	-	-	-	-	-	-	-	-	-	-	U.S.A.
6	CC StructureCo, LLC	January 14, 2026	January 1, 2025	December 31, 2025	USD	USD	94.606300	-	-	-	-	-	-	-	-	-	-	100%	U.S.A.
7	Coastal Cloud Canada Corp.	January 14, 2026	January 1, 2025	December 31, 2025	CAD	USD	68.057190	-	-	-	-	-	-	-	-	-	-	100%	Canada
8	Coastal Cloud Holdings, LLC	January 14, 2026	January 1, 2025	December 31, 2025	USD	USD	94.606300	-	-	-	-	-	-	-	-	-	-	100%	U.S.A.
9	Coastal Cloud Intermediate, LLC	January 14, 2026	January 1, 2025	December 31, 2025	USD	USD	94.606300	-	-	-	-	-	-	-	-	-	-	100%	U.S.A.
10	Coastal Cloud NA LLC	January 14, 2026	January 1, 2025	December 31, 2025	USD	USD	94.606300	-	-	-	-	-	-	-	-	-	-	100%	U.S.A.
11	Coastal Cloud, LLC	January 14, 2026	January 1, 2025	December 31, 2025	USD	USD	94.606300	-	222	293	71	-	276	(13)	1	(14)	-	100%	U.S.A.
12	Tata Consultancy Services Canada Inc.	October 1, 2009	April 1, 2025	March 31, 2026	CAD	CAD	68.057190	48	2,133	4,792	2,611	-	14,962	1,769	467	1,302	-	100%	Canada
13	Tata Consultancy Services Argentina S.A.	August 9, 2004	January 1, 2025	December 31, 2025	ARS	USD	0.068331	-	20	55	35	-	89	18	11	7	-	100%	Argentina
14	Tata Consultancy Services Chile S.A.	August 9, 2004	January 1, 2025	December 31, 2025	CLP	USD	0.102509	174	295	674	205	57	989	111	15	96	-	100%	Chile
15	Tata Consultancy Services De Mexico, S.A. De C.V.	August 9, 2004	January 1, 2025	December 31, 2025	MXN	USD	5.236299	1	765	2,359	1,593	-	5,828	375	144	231	-	100%	Mexico
16	Tata Consultancy Services Do Brasil Ltda.	August 9, 2004	January 1, 2025	December 31, 2025	BRL	USD	18.058084	317	335	1,231	579	-	2,714	260	83	177	-	100%	Brazil
17	TCS Iberoamerica S.A.	August 9, 2004	January 1, 2025	December 31, 2025	USD	USD	94.606300	931	1,123	2,064	10	2,060	-	743	25	718	-	100%	Uruguay
18	TCS Inversiones Chile Limitada	August 9, 2004	January 1, 2025	December 31, 2025	CLP	USD	0.102509	157	181	355	17	329	36	82	2	80	-	100%	Chile
19	TCS Solution Center S.A.	August 9, 2004	January 1, 2025	October 1, 2025	UYU	USD	2.333078	-	-	-	-	-	547	98	24	74	-	-	Uruguay
20	Tatasolution Center S.A.	December 28, 2006	January 1, 2025	December 31, 2025	USD	USD	94.606300	28	100	261	133	-	389	65	15	50	-	100%	Ecuador
21	MGDC S.C.	January 1, 2010	January 1, 2025	December 31, 2025	MXN	USD	5.236299	89	(55)	45	11	-	12	2	1	1	-	100%	Mexico
22	TCS Uruguay S.A.	January 1, 2010	January 1, 2025	December 31, 2025	UYU	USD	2.333078	84	522	1,038	432	82	1,625	261	32	229	-	100%	Uruguay
23	Tata Consultancy Services Guatemala, S.A.	September 1, 2021	January 1, 2025	December 31, 2025	GTQ	USD	12.361666	10	31	50	9	-	62	4	1	3	-	100%	Guatemala
24	3-101-951221 S.A.	December 15, 2025	January 1, 2025	December 31, 2025	CRC	USD	0.203940	5	(1)	4	-	-	-	(1)	-	(1)	-	100%	Costa Rica
25	Tata Consultancy Services Belgium	August 9, 2004	April 1, 2025	March 31, 2026	EUR	INR	108.816168	2	503	1,308	803	216	3,034	66	20	46	-	100%	Belgium
26	Tata Consultancy Services De Espana S.A.	August 9, 2004	April 1, 2025	March 31, 2026	EUR	EUR	108.816168	1	222	318	95	47	760	43	9	34	-	100%	Spain
27	Tata Consultancy Services Deutschland GmbH	August 9, 2004	April 1, 2025	March 31, 2026	EUR	INR	108.816168	2	1,019	2,907	1,886	241	8,421	211	67	144	-	100%	Germany
28	Tata Consultancy Services Italia S.R.L.	August 9, 2004	April 1, 2025	March 31, 2026	EUR	EUR	108.816168	24	143	383	216	57	604	55	22	33	-	100%	Italy
29	Tata Consultancy Services Netherlands B.V.	August 9, 2004	April 1, 2025	March 31, 2026	EUR	EUR	108.816168	718	2,891	5,563	1,954	2,377	9,640	765	133	632	-	100%	Netherlands
30	Tata Consultancy Services Sverige Aktiebolag	August 9, 2004	April 1, 2025	March 31, 2026	SEK	SEK	9.982095	-	1,216	2,364	1,148	97	5,519	508	107	401	-	100%	Sweden
31	Tata Consultancy Services (Portugal), Unipessoal Lda	July 4, 2005	April 1, 2025	March 31, 2026	EUR	EUR	108.816168	-	115	160	45	-	212	37	9	28	-	100%	Portugal
32	Diligenta Limited	August 23, 2005	January 1, 2025	December 31, 2025	GBP	GBP	125.353344	13	2,430	3,765	1,322	702	8,098	611	153	458	-	100%	U.K.
33	Tata Consultancy Services Luxembourg S.A.	October 28, 2005	April 1, 2025	March 31, 2026				61	122	339	156	-	724	47	13	34	-	100%	Capellen (G.D. de Luxembourg)
					EUR	EUR	108.816168												
34	Tata Consultancy Services Switzerland Ltd	October 31, 2006	April 1, 2025	March 31, 2026	CHF	EUR	118.302238	18	1,077	2,131	1,036	295	5,370	240	46	194	-	100%	Switzerland
35	Tata Consultancy Services France	June 28, 2013	April 1, 2025	March 31, 2026	EUR	EUR	108.816168	5	(214)	1,829	2,038	137	4,208	76	14	62	-	100%	France
36	Tata Consultancy Services Saudi Arabia	July 2, 2015	January 1, 2025	December 31, 2025	SAR	EUR	25.210195	9	655	1,708	1,044	-	2,861	385	75	310	-	100%	Saudi Arabia
37	Tata Consultancy Services UK Limited	October 31, 2018	January 1, 2025	December 31, 2025	GBP	GBP	125.353344	-	58	117	59	-	168	12	2	10	-	100%	U.K.
38	TCS Business Services GmbH	March 9, 2020	April 1, 2025	March 31, 2026	EUR	INR	108.816168	-	158	217	59	87	125	(2)	(1)	(1)	-	100%	Germany
39	Tata Consultancy Services Bulgaria EOOD	August 31, 2021	January 1, 2025	December 31, 2025	EUR	EUR	108.816168	-	70	91	21	-	81	5	-	5	-	100%	Bulgaria
40	Tata Consultancy Services Ireland Limited	December 2, 2020	January 1, 2025	December 31, 2025	EUR	EUR	108.816168	272	83	580	225	-	1,650	59	(1)	60	-	100%	Ireland

TATA CONSULTANCY SERVICES LIMITED

**Statement pursuant to first proviso to sub-section (3) of section 129 of the Companies Act 2013, read with rule 5 of Companies (Accounts) Rules, 2014
in the prescribed Form AOC-1 relating to subsidiary companies**

Sr. No.	Name of the Subsidiary Company	Date of becoming subsidiary	Start date of accounting period of subsidiary	End date of accounting period of subsidiary	Reporting Currency	Parent Currency	Exchange Rate	Share Capital	Reserves and Surplus	Total Assets	Total Liabilities	Investments	Turnover	Profit before Tax	Provision for Tax	Profit after Tax	Proposed Dividend	% of Shareholding	Country
								₹ crore											
41	TCS Technology Solutions GmbH	January 1, 2021	January 1, 2025	December 31, 2025	EUR	EUR	108.816168	35	701	1,097	361	-	819	(369)	22	(391)	-	100%	Germany
42	Tata Consultancy Services Österreich GmbH	March 9, 2012	April 1, 2025	March 31, 2026	EUR	EUR	108.816168	-	29	133	104	-	162	12	3	9	-	100%	Austria
43	Diligenta (Europe) B.V.	September 14, 2023	January 1, 2025	December 31, 2025	EUR	USD	108.816168	-	-	18	18	-	22	-	-	-	-	100%	Netherlands
44	Tata Consultancy Services Regional Headquarters	January 18, 2026	January 1, 2025	December 31, 2025	SAR	EUR	25.210195	-	-	-	-	-	-	-	-	-	-	100%	Saudi Arabia
45	Tata Consultancy Services Maroc SARL AU	January 23, 2026	April 1, 2025	March 31, 2026	MAD	EUR	10.113129	3	-	3	-	-	-	-	-	-	-	100%	Morocco
46	Tata Consultancy Services Asia Pacific Pte. Ltd.	August 9, 2004	April 1, 2025	March 31, 2026	USD	USD	94.606300	42	1,247	2,170	881	1,075	3,615	600	69	531	-	100%	Singapore
47	Tata Consultancy Services Malaysia Sdn. Bhd.	August 9, 2004	April 1, 2025	March 31, 2026	MYR	USD	23.502919	5	169	371	197	-	919	104	29	75	-	100%	Malaysia
48	TCS FNS Pty Limited	October 17, 2005	April 1, 2025	March 31, 2026	AUD	AUD	64.871540	242	(73)	169	-	2	-	101	-	101	-	100%	Australia
49	TCS Financial Solutions Australia Pty Ltd	October 19, 2005	April 1, 2025	March 31, 2026	AUD	AUD	64.871540	-	46	94	48	-	86	63	22	41	-	100%	Australia
50	Tata Consultancy Services Indonesia, PT	October 5, 2006	April 1, 2025	March 31, 2026	IDR	USD	0.005567	1	40	59	18	-	49	5	(2)	7	-	100%	Indonesia
51	Tata Consultancy Services (China) Co., Ltd.	November 16, 2006	January 1, 2025	December 31, 2025	CNY	USD	13.690027	276	207	635	152	-	1,371	152	38	114	-	100%	China
52	Tata Consultancy Services (Thailand) Limited	May 12, 2008	April 1, 2025	March 31, 2026	THB	USD	2.880474	31	46	191	114	-	448	23	5	18	-	100%	Thailand
53	Tata Consultancy Services (Philippines) Inc.	September 19, 2008	April 1, 2025	March 31, 2026	PHP	USD	1.555411	(43)	334	764	473	-	1,340	236	16	220	-	100%	Philippines
54	Tata Consultancy Services Japan, Ltd.	July 1, 2014	April 1, 2025	March 31, 2026	JPY	USD	0.592604	256	2,097	3,694	1,341	208	5,840	573	141	432	-	66%	Japan
55	Tata Consultancy Services BT Private Limited	December 16, 2025	January 1, 2025	December 31, 2025	BTN	USD	1.000000	-	-	-	-	-	-	-	-	-	-	100%	Bhutan
56	APTOnline Limited	August 9, 2004	April 1, 2025	March 31, 2026	INR	INR	1.000000	2	150	243	91	55	176	41	11	30	-	89%	India
57	C-Edge Technologies Limited	January 19, 2006	April 1, 2025	March 31, 2026	INR	INR	1.000000	10	593	777	174	-	693	221	58	163	-	51%	India
58	MP Online Limited	September 8, 2006	April 1, 2025	March 31, 2026	INR	INR	1.000000	1	157	208	50	19	91	31	7	24	-	89%	India
59	TCS e-Serve International Limited	December 31, 2008	April 1, 2025	March 31, 2026	INR	INR	1.000000	10	428	665	227	161	1,171	261	62	199	-	100%	India
60	MahaOnline Limited	September 23, 2010	April 1, 2025	March 31, 2026	INR	INR	1.000000	3	84	150	63	91	-	6	2	4	-	74%	India
61	TRIL Bengaluru Real Estate Five Limited	January 29, 2025	April 1, 2025	March 31, 2026	INR	INR	1.000000	167	-	178	11	-	-	-	-	-	-	100%	India
62	TRIL Bengaluru Real Estate Six Limited	January 29, 2025	April 1, 2025	March 31, 2026	INR	INR	1.000000	886	(3)	931	48	-	-	(2)	-	(2)	-	100%	India
63	HyperVault AI Data Center Limited	October 29, 2025	April 1, 2025	March 31, 2026	INR	INR	1.000000	281	(4)	412	135	410	-	(4)	-	(4)	-	73.91%	India
64	Tata Consultancy Services (Africa) (Proprietary) Limited	October 23, 2007	January 1, 2025	December 31, 2025	ZAR	ZAR	5.526101	8	33	41	-	7	-	20	1	19	-	100%	South Africa
65	Tata Consultancy Services (South Africa) (Proprietary) Limited	October 31, 2007	January 1, 2025	December 31, 2025	ZAR	ZAR	5.526101	10	106	542	426	-	1,125	81	22	59	-	70%	South Africa
66	Tata Consultancy Services Qatar	December 20, 2011	January 1, 2025	December 31, 2025	QAR	QAR	25.947259	5	60	169	104	-	103	11	1	10	-	100%	Qatar
67	TCS Foundation	March 25, 2015	April 1, 2025	March 31, 2026	INR	INR	1.000000	1	1,667	3,418	1,750	196	-	220	-	220	-	100%	India

TATA CONSULTANCY SERVICES LIMITED

**Statement pursuant to first proviso to sub-section (3) of section 129 of the Companies Act 2013, read with rule 5 of Companies (Accounts) Rules, 2014
in the prescribed Form AOC-1 relating to subsidiary companies**

Notes:

1. Indian rupee equivalents of the figures given in foreign currencies in the accounts of the subsidiary companies, are based on the exchange rates as on March 31, 2026.
2. TCS Solution Center S.A. merged with TCS Uruguay S.A. w.e.f. October 1, 2025.
3. The Company incorporated a subsidiary, HyperVault AI Data Center Limited on October 29, 2025.
4. The Company acquired ListEngage Midco, LLC along with its subsidiary ListEngage LLC on October 10, 2025.
5. ListEngage Midco, LLC incorporated a subsidiary, TCS North America Corporation in U.S.A. on December 15, 2025.
6. ListEngage Midco, LLC incorporated a subsidiary, Trident LE LLC in U.S.A. on December 15, 2025.
7. TCS Iberoamerica S.A. incorporated a subsidiary, 3-101-951221 S.A. in Costa Rica on December 15, 2025.
8. Tata Consultancy Services Asia Pacific Pte. Ltd. incorporated a subsidiary, Tata Consultancy Services BT Private Limited in Bhutan on December 16, 2025.
9. Trident LE LLC merged with Coastal Cloud Holdings, LLC w.e.f. January 14, 2026.
10. Tata Consultancy Services Netherlands B.V. incorporated a subsidiary, Tata Consultancy Services Regional Headquarters in the Kingdom of Saudi Arabia on January 18, 2026.
11. Tata Consultancy Services Netherlands B.V. incorporated a subsidiary, Tata Consultancy Services Maroc SARL AU in Morocco on January 23, 2026.
12. SCP V-B Blocker III LLC renamed to Coastal Cloud NA LLC w.e.f. February 10, 2026.

For and on behalf of the Board

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Executive Director - President and COO
DIN: 07121802

Samir Seksaria
CFO

Yashaswin Sheth
Company Secretary

Mumbai, April 9, 2026